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ITAWAMBA COUNTY SCHOOL DISTRICT

Audited Financial Statements
For the Year Ended June 30, 2023

ITAWAMBA COUNTY SCHOOL DISTRICT

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INDEPENDENT AUDITOR'S REPORT



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INDEPENDENT AUDITOR'S REPORT

Superintendent and School Board
Itawamba County School District

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of the Itawamba County School District as of and for the year ended June 30, 2023, and the related notes to the financial statements, which collectively comprise the Itawamba County School District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, each major fund, and the aggregate remaining fund information of the Itawamba County School District, as of June 30, 2023, and the respective changes in financial position thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards (Government Auditing Standards)*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Itawamba County School District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Itawamba County School District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibility for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing*

Standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Itawamba County School District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Itawamba County School District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison information, the Schedule of the District's Proportionate Share of the Net Pension Liability, the Schedule of District Contributions (PERS), the Schedule of the District's Proportionate Share of the Net OPEB Liability, and the Schedule of District Contributions (OPEB), be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Itawamba County School District's basic financial statements. The accompanying Schedule of Expenditures of Federal Awards, as required by *Title 2 U.S. Code of Federal Regulations Part 200*, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards and the Schedule of Instructional, Administrative and Other Expenditures for Governmental Funds are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the

underlying accounting and other records used to prepare the basic financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the accompanying Schedule of Expenditures of Federal Awards and the Schedule of Instructional, Administrative and Other Expenditures for Governmental Funds are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the Statement of Revenues, Expenditures and Changes in Fund Balances—General Fund, Last Four Years and the Statement of Revenues, Expenditures and Changes in Fund Balances—All Governmental Funds, Last Four Years but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated November 30, 2025, on our consideration of the Itawamba County School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Itawamba County School District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Itawamba County School District's internal control over financial reporting and compliance.

McKenzie CPA, PLLC
Madison, Mississippi
November 30, 2025

McKenzie CPA, PLLC

MANAGEMENT'S DISCUSSION AND ANALYSIS

ITAWAMBA COUNTY SCHOOL DISTRICT
Management's Discussion and Analysis
For the Year Ended June 30, 2023

The following discussion and analysis of Itawamba County School District's financial performance provides an overview of the School District's financial activities for the year ended June 30, 2023. The intent of this discussion and analysis is to look at the School District's performance as a whole. Readers are encouraged to review the financial statements and the notes to the financial statements to enhance their understanding of the School District's financial performance.

FINANCIAL HIGHLIGHTS

- Total net position for 2023 increased \$593,400, including a prior period adjustment of \$109,041, which represents a 3% increase from fiscal year 2022. Total net position for 2022 increased \$2,428,801, including a prior period adjustment of \$43,423, which represents a 10% increase from fiscal year 2021.
- General revenues amounted to \$30,270,025 and \$27,169,447 or 72% and 74% of all revenues for fiscal years 2023 and 2022, respectively. Program specific revenues in the form of charges for services and grants and contributions accounted for \$11,714,845, or 28% of total revenues for 2023, and \$9,376,642, or 26% of total revenues for 2022.
- The District had \$41,500,511 and \$34,160,711 in expenses for fiscal years 2023 and 2022; only \$11,714,845 for 2023 and \$9,376,642 for 2022 of these expenses were offset by program specific charges for services, grants and contributions. General revenues of \$30,270,025 for 2023 and \$27,169,447 for 2022 were adequate to provide for these programs.
- Among major funds, the General Fund had \$30,628,843 in revenues and \$29,619,376 in expenditures for 2023, and \$27,309,591 in revenues and \$28,485,177 in expenditures for 2022. The General Fund's fund balance increased by \$1,515,623, from 2022 to 2023, and increased by \$1,009,140, including a prior period adjustment of \$2,672,890, from 2021 to 2022.
- Capital assets, net of accumulated depreciation, decreased by \$551,722, including a prior period adjustment of \$164,216, for 2023 and increased by \$1,103,913, including a prior period adjustment of \$259,416, for 2022. The decrease for 2023 was due primarily to retirements of furniture and equipment and depreciation expense for the year as well as adjustments to accumulated depreciation.
- Long-term debt, including compensated absences, increased by \$370,099 for 2023 and decreased by \$643,012 for 2022. The increase for 2023 was due primarily to the issuance of a shortfall note and a loan in the amount of \$1,008,864. The liability for compensated absences decreased by \$1,200 for 2023 and decreased by \$17,276 for 2022.

OVERVIEW OF THE FINANCIAL STATEMENTS

This discussion and analysis serves as an introduction to the District's basic financial statements, which include government-wide financial statements, fund financial statements, and notes to the financial statements. This report also contains required supplementary information, supplementary information, and other information.

Government-wide Financial Statements

The government-wide financial statements are designed to provide the reader with a broad overview of the District's finances. These statements consist of the Statement of Net Position and the Statement of Activities, which are prepared using the flow of economic resources measurement focus and the accrual basis of accounting. The current year's revenues and expenses are taken into account regardless of when cash is received or paid.

The Statement of Net Position presents information on all the District's non-fiduciary assets, deferred outflows, liabilities, and deferred inflows, with the differences between them reported as "net position." Over time, increases or decreases in the District's net position may serve as a useful indicator of whether its

ITAWAMBA COUNTY SCHOOL DISTRICT
Management's Discussion and Analysis
For the Year Ended June 30, 2023

financial position is improving or deteriorating.

The Statement of Activities presents information showing how the District's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods.

The government-wide financial statements outline functions of the District that are principally supported by property taxes and intergovernmental revenues (governmental activities). The governmental activities of the District include instruction, support services, non-instructional, pension expense, OPEB expense, and interest on long-term liabilities.

Fund Financial Statements

A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the District are classified as governmental funds.

Governmental funds – All of the District's general activities are reported in its governmental funds. Governmental funds are used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. However, governmental funds are accounted for using the modified accrual basis of accounting and the flow of current financial resources measurement focus. The approach focuses on near-term inflows and outflows of spendable resources, as well as balances of spendable resources available at year end. The governmental fund statements provide a detailed view of the District's near-term financing requirements.

Because the focus of governmental funds is narrower than that of the government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, the reader may gain a better understanding of the long-term impact of the District's near-term financing decisions. The governmental funds Balance Sheet is reconciled to the Statement of Net Position, and the governmental funds Statement of Revenues, Expenditures, and Changes in Fund Balances is reconciled to the Statement of Activities to facilitate this comparison between governmental funds and governmental activities.

The District maintains individual governmental funds in accordance with the *Financial Accounting Manual for Mississippi Public School Districts*. Information is presented separately in the governmental funds Balance Sheet and in the governmental funds Statement of Revenues, Expenditures, and Changes in Fund Balances for all major funds. All non-major funds are combined and presented in these reports as other governmental funds.

Reconciliation of Government-wide and Fund Financial Statements

The financial statements include two schedules that reconcile the amounts reported on the governmental funds financial statements (modified accrual basis of accounting) with government-wide financial statements (accrual basis of accounting). The following summarizes the major differences between the two statements:

Capital assets used in governmental activities are not reported on governmental funds financial statements.

Capital outlay spending results in capital assets on government-wide financial statements but is reported as expenditures on the governmental funds financial statements.

Bond and note proceeds result in liabilities on government-wide financial statements, but are

ITAWAMBA COUNTY SCHOOL DISTRICT
Management's Discussion and Analysis
For the Year Ended June 30, 2023

recorded as other financing sources on the governmental funds financial statements.

A net pension liability and net OPEB liability result in liabilities on the government-wide financial statements but are not reported on governmental funds financial statements.

Certain other outflows represent either increases or decreases in liabilities on the government-wide financial statements but are reported as expenditures on the governmental funds financial statements.

Notes to the financial statements

The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements can be found immediately following the basic financial statements.

Required Supplementary Information

In addition to the basic financial statements and accompanying notes, this report also presents budgetary comparison schedules, Schedule of the District's Proportionate Share of the Net Pension Liability, Schedule of District Contributions (PERS), Schedule of the District's Proportionate Share of the Net OPEB Liability, and Schedule of District Contributions (OPEB) as required supplementary information. The District adopts an annual operating budget for all governmental funds. A budgetary comparison schedule has been provided for the General Fund and each additional major special revenue fund as required by the Governmental Accounting Standards Board.

Supplementary Information

Additionally, a Schedule of Expenditures of Federal Awards as required by Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards and a Schedule of Instructional, Administrative and Other Expenditures for governmental funds can be found in this report.

Other Information

Although not a required part of the basic financial statements, the Statement of Revenues, Expenditures and Changes in Fund Balances—General Fund, Last Four Years and the Statement of Revenues, Expenditures and Changes in Fund Balances—All Governmental Funds, Last Four Years, is presented for purposes of additional analysis as required by the Mississippi Department of Education.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Net position

Net position may serve over time as a useful indicator of the District's financial position. Liabilities and deferred inflows of resources exceeded assets and deferred outflows of resources by \$20,700,963 as of June 30, 2023.

The District's financial position is a product of several financial transactions including the net result of activities, the acquisition and payment of debt, the acquisition and disposal of capital assets and the depreciation of capital assets.

ITAWAMBA COUNTY SCHOOL DISTRICT
Management's Discussion and Analysis
For the Year Ended June 30, 2023

Table 1 presents a summary of the District's net position at June 30, 2023 and June 30, 2022.

Table 1
Condensed Statement of Net Position

	June 30, 2023	June 30, 2022	Percentage Change
Current assets	\$ 12,056,511	\$ 9,250,022	30.34 %
Restricted assets	2,428,880	2,203,053	10.25 %
Capital assets, net	25,116,887	25,668,609	(2.15) %
Total assets	<u>39,602,278</u>	<u>37,121,684</u>	6.68 %
Deferred outflows of resources	<u>13,580,789</u>	<u>10,921,628</u>	24.35 %
Current liabilities	2,274,030	2,078,343	9.42 %
Long-term debt outstanding	9,171,137	8,801,038	4.21 %
Net OPEB liability	2,028,171	2,473,424	(18.00) %
Net pension liability	58,245,729	40,165,394	45.01 %
Total liabilities	<u>71,719,067</u>	<u>53,518,199</u>	34.01 %
Deferred inflows of resources	<u>2,164,963</u>	<u>15,819,476</u>	(86.31) %
Net position:			
Net investment in capital assets	17,374,172	17,317,162	0.33 %
Restricted	7,046,119	5,377,447	31.03 %
Unrestricted	(45,121,254)	(43,988,972)	(2.57) %
Total net position (deficit)	<u>\$ (20,700,963)</u>	<u>\$ (21,294,363)</u>	2.79 %

Additional information on unrestricted net position:

In connection with the application of standards on accounting and financial reporting for pensions and OPEB, management presents the following additional information:

Total unrestricted net position (deficit)	(\$45,121,254)
Less unrestricted deficit in net position resulting from recognition of the net pension liability and net OPEB liability, including the deferred outflows and deferred inflows related to Pensions and OPEB	48,858,074
Unrestricted net position, exclusive of the net pension liability and net OPEB liability effect	<u>\$ 3,736,820</u>

The following are significant current year transactions that have had an impact on the Statement of Net Position.

- Decrease in net capital assets in the amount of \$551,722.
- The principal retirement of \$637,565 of long-term debt.
- Issuance of a short fall note payable for \$385,864.
- Issuance of other loans payable in the amount of \$623,000.

ITAWAMBA COUNTY SCHOOL DISTRICT
Management's Discussion and Analysis
For the Year Ended June 30, 2023

Changes in net position

The District's total revenues for the fiscal years ended June 30, 2023 and June 30, 2022 were \$41,984,870 and \$36,546,089, respectively. The total cost of all programs and services was \$41,500,511 for 2023 and \$34,160,711 for 2022.

Table 2 presents a summary of the changes in net position for the fiscal years ended June 30, 2023 and June 30, 2022.

Table 2
Changes in Net Position

	<u>Year Ended June 30, 2023</u>	<u>Year Ended June 30, 2022</u>	<u>Percentage Change</u>	
Revenues:				
Program revenues:				
Charges for services	\$ 1,189,310	\$ 883,255	34.65	%
Operating grants and contributions	10,525,535	8,493,387	23.93	%
General revenues:				
Property taxes	7,042,432	6,653,297	5.85	%
Grants and contributions not restricted	23,038,742	20,434,167	12.75	%
Investment earnings	38,313	(123,952)	130.91	%
Sixteenth section sources	1,308	-	N/A	%
Other	149,230	205,935	(27.54)	%
Total revenues	<u>41,984,870</u>	<u>36,546,089</u>	14.88	%
Expenses:				
Instruction	21,121,132	19,835,454	6.48	%
Support services	12,711,046	9,544,127	33.18	%
Non-instructional	2,392,696	2,187,794	9.37	%
Pension expense	5,386,015	2,557,026	110.64	%
OPEB expense	(220,593)	(119,001)	(85.37)	%
Interest on long-term liabilities	110,215	155,311	(29.04)	%
Total expenses	<u>41,500,511</u>	<u>34,160,711</u>	21.49	%
Increase (Decrease) in net position	<u>484,359</u>	<u>2,385,378</u>	(79.69)	%
Net Position (deficit), July 1, as previously reported	(21,294,363)	(23,723,164)	10.24	%
Prior Period Adjustment	<u>109,041</u>	<u>43,423</u>	151.11	%
Net Position (deficit), July 1, as restated	(21,185,322)	(23,679,741)	10.53	%
Net Position (deficit), June 30	<u>\$ (20,700,963)</u>	<u>\$ (21,294,363)</u>	2.79	%

ITAWAMBA COUNTY SCHOOL DISTRICT
Management's Discussion and Analysis
For the Year Ended June 30, 2023

Governmental activities

The following table presents the cost of six major District functional activities: instruction, support services, non-instructional, pension expense, OPEB expense, and interest on long-term liabilities. The table also shows each functional activity's net cost (total cost less charges for services generated by the activities and intergovernmental aid provided for specific programs). The net cost presents the financial burden that was placed on the State and District's taxpayers by each of these functions.

**Table 3
Net Cost of Governmental Activities**

	Total Expenses		Percentage Change	
	2023	2022		
Instruction	\$ 21,121,132	\$ 19,835,454	6.48	%
Support services	12,711,046	9,544,127	33.18	%
Non-instructional	2,392,696	2,187,794	9.37	%
Pension Expense	5,386,015	2,557,026	110.64	%
OPEB Expense	(220,593)	(119,001)	(85.37)	%
Interest on long-term liabilities	110,215	155,311	(29.04)	%
Total expenses	\$ 41,500,511	\$ 34,160,711	21.49	%

	Net (Expense) Revenue		Percentage Change	
	2023	2022		
Instruction	\$ (15,863,957)	\$ (15,051,687)	(5.40)	%
Support services	(8,587,052)	(7,512,940)	(14.30)	%
Non-instructional	(59,020)	373,894	(115.79)	%
Pension Expense	(5,386,015)	(2,557,026)	(110.64)	%
OPEB Expense	220,593	119,001	85.37	%
Interest on long-term liabilities	(110,215)	(155,311)	29.04	%
Total net (expense) revenue	\$ (29,785,666)	\$ (24,784,069)	(20.18)	%

- Net cost of governmental activities (\$29,785,666 for 2023 and \$24,784,069 for 2022) was financed by general revenue, which is primarily made up of property taxes (\$7,042,432 for 2023 and \$6,653,297 for 2022) and state and federal revenues (\$23,038,742 for 2023 and \$20,434,167 for 2022). In addition, there was \$1,308 and \$0 in Sixteenth Section sources for 2023 and 2022, respectively.
- Investment earnings amounted to \$38,313 for 2023 and (\$123,952) for 2022.

FINANCIAL ANALYSIS OF THE DISTRICT'S FUNDS

As noted earlier, the District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

Governmental funds. The focus of the District's governmental funds is to provide information on current inflows, outflows and balances of spendable resources. Such information is useful in assessing the District's financing requirements. In particular, unassigned fund balance may serve as a useful measure of the District's net resources available for spending at the end of the fiscal year.

The financial performance of the District as a whole is reflected in its governmental funds. As the District completed the year, its governmental funds reported a combined fund balance of \$12,262,271, an increase of \$2,819,359, which includes a prior period adjustment of (\$55,175) and an increase in inventory of

ITAWAMBA COUNTY SCHOOL DISTRICT
Management's Discussion and Analysis
For the Year Ended June 30, 2023

\$27,076. \$4,542,242 or 37% of the fund balance is unassigned, which represents the residual classification for the General Fund's fund balance that has not been assigned to other funds and that has not been restricted or assigned to specific purposes within the general fund. The remaining fund balance of \$7,720,029 or 63% is either non-spendable, restricted or assigned to indicate that it is not available for spending except only for the purposes to which it is restricted or assigned.

The General Fund is the principal operating fund of the District. The increase in fund balance in the General Fund for the fiscal year was \$1,515,623. The fund balance of Other Governmental Funds showed an increase in the amount of \$1,992,522, which includes a prior period adjustment of (\$50,870). The increase (decrease) in the fund balances for the other major funds were as follows:

<u>Major Fund</u>		<u>Increase (Decrease)</u>
Food Service Fund	\$	(123,618)
ESSER II Fund		no increase or decrease
Senate Bill 2971 Fund	\$	(790,995)
QSCB Fund	\$	225,827

BUDGETARY HIGHLIGHTS

During the year, the District revised the annual operating budget. Budget revisions were made to address and correct the original budgets to reflect more accurately the sources and uses of funding for the School District. Budget revisions during the fiscal year were routine in nature and were insignificant when compared with total revenues and expenditures of the District.

A schedule showing the original and final budget amounts compared to the District's actual financial activity for the General Fund and major special revenue fund is provided in this report as required supplementary information.

CAPITAL ASSETS AND DEBT ADMINISTRATION

Capital Assets. As of June 30, 2023, the District's total capital assets were \$50,323,151, including land, school buildings, building improvements, improvements other than buildings, buses, other school vehicles, furniture and equipment. This amount represents an increase of \$639,782 from 2022. Total accumulated depreciation as of June 30, 2023, was \$25,206,264, and total depreciation expense for the year was \$1,191,548, resulting in total net capital assets of \$25,116,887.

Table 4
Capital Assets, Net of Accumulated Depreciation

	<u>June 30, 2023</u>	<u>June 30, 2022</u>	<u>Percentage</u> <u>Change</u>	
Land	\$ 1,161,634	\$ 1,161,634	0.00	%
Construction in Progress	-	1,742,345	(100.00)	%
Buildings	20,784,091	19,684,759	5.58	%
Building improvements	560,885	601,967	(6.82)	%
Improvements other than buildings	618,180	654,800	(5.59)	%
Mobile equipment	1,741,073	1,627,945	6.95	%
Furniture and equipment	251,024	195,159	28.63	%
Total	\$ 25,116,887	\$ 25,668,609	(2.15)	%

Additional information on the District's capital assets can be found in Notes 5 included in this report.

ITAWAMBA COUNTY SCHOOL DISTRICT
Management's Discussion and Analysis
For the Year Ended June 30, 2023

Debt Administration. At June 30, 2023, the District had \$9,171,137 in outstanding long-term debt, of which \$854,995 is due within one year. During the fiscal year, the District made principal payments totaling \$637,565 on outstanding long-term debt. The liability for compensated absences decreased \$1,200 from the prior year.

Table 5
Outstanding Long-Term Debt

	<u>June 30, 2023</u>	<u>June 30, 2022</u>	Percentage	
			Change	
Three mill notes payable	2,415,000	2,745,000	(12.02)	%
Shortfall notes payable	415,107	58,076	614.77	%
Obligations under energy efficiency loans	2,176,296	2,321,324	(6.25)	%
Installment purchase loans payable	278,419	412,123	(32.44)	%
Qualified school construction bonds payable	2,873,000	2,873,000	0.00	%
Other loans payable	623,000	-	N/A	%
Compensated absences payable	390,315	391,515	(0.31)	%
Total	<u><u>\$ 9,171,137</u></u>	<u><u>\$ 8,801,038</u></u>	4.21	%

Additional information on the District's long-term debt can be found in Notes 6 included in this report.

CURRENT ISSUES

The Itawamba County School District is financially stable. The District is proud of its community support of the public schools.

The District has committed itself to financial excellence for many years. The District's system of financial planning, budgeting, and internal financial controls is well regarded. The District plans to continue its sound fiscal management to meet the challenges of the future.

The District actively pursues grant funding to supplement the local, state, and federal revenues.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

If you have any questions about this report or need additional financial information, contact the Superintendent's Office of the Itawamba County School District, 605 South Cummings Street, Fulton, MS 38843.

FINANCIAL STATEMENTS

ITAWAMBA COUNTY SCHOOL DISTRICT

Statement of Net Position
June 30, 2023

Exhibit A

	Governmental Activities
Assets	
Cash and cash equivalents	\$ 9,592,723
Due from other governments	1,777,348
Other receivables, net	623,000
Inventories	63,440
Restricted assets	2,428,880
Capital assets, non-depreciable:	
Land	1,161,634
Capital assets, net of accumulated depreciation:	
Buildings	20,784,091
Building improvements	560,885
Improvements other than buildings	618,180
Mobile equipment	1,741,073
Furniture and equipment	251,024
Total Assets	<u>39,602,278</u>
Deferred Outflows of Resources	
Deferred outflows - pensions	12,901,070
Deferred outflows - OPEB	679,719
Total Deferred Outflows of Resources	<u>13,580,789</u>
Liabilities	
Accounts payable and accrued liabilities	2,223,120
Interest payable on long-term liabilities	50,910
Long-term liabilities, due within one year:	
Capital related liabilities	682,613
Non-capital related liabilities	172,382
Net OPEB liability	94,450
Long-term liabilities, due beyond one year:	
Capital related liabilities	7,683,102
Non-capital related liabilities	633,040
Net pension liability	58,245,729
Net OPEB liability	1,933,721
Total Liabilities	<u>71,719,067</u>
Deferred Inflows of Resources	
Deferred inflows - pensions	1,067,244
Deferred inflows - OPEB	1,097,719
Total Deferred Inflows of Resources	<u>2,164,963</u>
Net Position	
Net investment in capital assets	17,374,172
Restricted for:	
Expendable:	
School-based activities	3,146,333
Debt service	3,810,690
Unemployment benefits	89,096
Unrestricted	(45,121,254)
Total Net Position (deficit)	<u>\$ (20,700,963)</u>

The notes to the financial statements are an integral part of this statement.

ITAWAMBA COUNTY SCHOOL DISTRICT

Statement of Activities

For the Year Ended June 30, 2023

Exhibit B

Functions/Programs	Expenses	Program Revenues			Governmental Activities	Net (Expense) Revenue and Changes in Net Position
		Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions		
Governmental Activities:						
Instruction	\$ 21,121,132	\$ 694,472	\$ 4,562,703	\$ -	\$	(15,863,957)
Support services	12,711,046	-	4,123,994	-		(8,587,052)
Non-instructional	2,392,696	494,838	1,838,838	-		(59,020)
Pension expense	5,386,015	-	-	-		(5,386,015)
OPEB expense	(220,593)	-	-	-		220,593
Interest on long-term liabilities	110,215	-	-	-		(110,215)
Total Governmental Activities	<u>\$ 41,500,511</u>	<u>\$ 1,189,310</u>	<u>\$ 10,525,535</u>	<u>\$ -</u>	<u>\$</u>	<u>(29,785,666)</u>

General Revenues:

Taxes:

General purpose levies 6,536,288

Debt purpose levies 506,144

Unrestricted grants and contributions:

State 22,898,025

Federal 140,717

Unrestricted investment earnings 38,313

Sixteenth section sources 1,308

Other 149,230

Total General Revenues 30,270,025

Change in Net Position 484,359

Net Position (deficit) - Beginning, as previously reported (21,294,363)

Prior Period Adjustments 109,041

Net Position (deficit) - Beginning, as restated (21,185,322)

Net Position (deficit) - Ending \$ (20,700,963)

The notes to the financial statements are an integral part of this statement.

ITAWAMBA COUNTY SCHOOL DISTRICT
Governmental Funds

Balance Sheet
June 30, 2023

Exhibit C

	Major Funds					Other Governmental Funds	Total Governmental Funds
	General Fund	Food Service Fund	ESSER II Fund	Senate Bill 2971 Fund	QSCB Fund		
<u>Assets</u>							
Cash and cash equivalents	\$ 4,841,863	589,263	27,585	111,240	-	4,022,772	\$ 9,592,723
Cash with fiscal agents	-	-	-	-	244	-	244
Investments	-	-	-	-	2,428,636	-	2,428,636
Due from other governments	213,271	2,564	808,036	-	-	753,477	1,777,348
Other receivables, net	623,000	-	-	-	-	-	623,000
Due from other funds	1,817,793	-	-	-	-	116,030	1,933,823
Inventories	-	63,440	-	-	-	-	63,440
Total Assets	<u>\$ 7,495,927</u>	<u>\$ 655,267</u>	<u>\$ 835,621</u>	<u>\$ 111,240</u>	<u>2,428,880</u>	<u>4,892,279</u>	<u>\$ 16,419,214</u>
<u>Liabilities and Fund Balances</u>							
Liabilities:							
Accounts payable and accrued liabilities	\$ 1,866,989	\$ 75,594	\$ 27,585	\$ 10,553	-	242,399	\$ 2,223,120
Due to other funds	116,030	257,227	808,036	-	-	752,530	1,933,823
Total Liabilities	<u>1,983,019</u>	<u>332,821</u>	<u>835,621</u>	<u>10,553</u>	<u>-</u>	<u>994,929</u>	<u>4,156,943</u>
Fund Balances:							
Nonspendable:							
Inventory	-	63,440	-	-	-	-	63,440
Restricted:							
Debt service	-	-	-	-	2,428,880	1,432,720	3,861,600
Capital projects	623,000	-	-	-	-	-	623,000
Grant activities	-	-	-	100,687	-	2,375,534	2,476,221
Unemployment benefits	-	-	-	-	-	89,096	89,096
Food service	-	259,006	-	-	-	-	259,006
Assigned:							
School activities	347,666	-	-	-	-	-	347,666
Unassigned	<u>4,542,242</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>4,542,242</u>
Total Fund Balances	<u>5,512,908</u>	<u>322,446</u>	<u>-</u>	<u>100,687</u>	<u>2,428,880</u>	<u>3,897,350</u>	<u>12,262,271</u>
Total Liabilities and Fund Balances	<u>\$ 7,495,927</u>	<u>\$ 655,267</u>	<u>\$ 835,621</u>	<u>\$ 111,240</u>	<u>2,428,880</u>	<u>4,892,279</u>	<u>\$ 16,419,214</u>

The notes to the financial statements are an integral part of this statement.

ITAWAMBA COUNTY SCHOOL DISTRICT
Governmental Funds

Reconciliation of the Governmental Funds Balance Sheet to the Statement of Net Position
June 30, 2023

Exhibit C-1

Total fund balances for governmental funds **\$ 12,262,271**

Amounts reported for governmental activities in the statement of Net Position are different because:

1. Capital assets used in governmental activities are not financial resources and, therefore, are not reported in the funds:

Land	\$ 1,161,634	
Buildings	38,907,085	
Building improvements	1,066,992	
Improvements other than buildings	1,785,435	
Mobile equipment	6,005,992	
Furniture and equipment	1,396,013	
Accumulated depreciation	<u>(25,206,264)</u>	25,116,887

2. Some liabilities, including net pension obligations, are not due and payable in the current period and, therefore, are not reported in the funds:

Net pension liability	(58,245,729)	
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Deferred outflows and inflows of resources related to pensions are applicable to future periods and, therefore, are not reported in the funds:

Deferred outflows of resources related to pensions	12,901,070	
Deferred inflows of resources related to pensions	<u>(1,067,244)</u>	(46,411,903)

3. Some liabilities, including net OPEB obligations, are not due and payable in the current period and, therefore, are not reported in the funds:

Net OPEB liability	(2,028,171)	
--------------------	-------------	--

Deferred outflows and inflows of resources related to OPEB are applicable to future periods and, therefore, are not reported in the funds:

Deferred outflows of resources related to OPEB	679,719	
Deferred inflows of resources related to OPEB	<u>(1,097,719)</u>	(2,446,171)

4. Long-term liabilities and related accrued interest are not due and payable in the current period and, therefore, are not reported in the funds:

Other bonds payable	(2,873,000)	
Notes payable	(2,830,107)	
Loans payable	(901,419)	
Energy efficiency loan	(2,176,296)	
Compensated absences	(390,315)	
Accrued interest payable	<u>(50,910)</u>	(9,222,047)

Net Position of governmental activities		<u>\$ (20,700,963)</u>
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The notes to the financial statements are an integral part of this statement.

ITAWAMBA COUNTY SCHOOL DISTRICT
Governmental Funds

Statement of Revenues, Expenditures and Changes in Fund Balances
For the Year Ended June 30, 2023

Exhibit D

	Major Funds					Other Governmental Funds	Total Governmental Funds
	General Fund	Food Service Fund	ESSER II Fund	Senate Bill 2971 Fund	QSCB Fund		
Revenues:							
Local sources	\$ 7,393,314	501,417	-	1,108	-	531,064	\$ 8,426,903
State sources	23,086,560	17,255	-	-	-	2,579,114	25,682,929
Federal sources	148,969	1,890,155	1,604,343	-	-	4,221,175	7,864,642
Total Revenues	30,628,843	2,408,827	1,604,343	1,108	-	7,331,353	41,974,474
Expenditures:							
Instruction	20,008,406	-	384,277	-	-	2,941,093	23,333,776
Support services	9,189,829	151,705	1,215,761	792,103	1,950	2,105,967	13,457,315
Noninstructional services	-	2,407,816	-	-	-	74,568	2,482,384
Facilities acquisition and construction	84,075	-	-	-	-	-	84,075
Debt service:							
Principal	278,733	-	-	-	-	358,832	637,565
Interest	58,333	-	-	-	24,132	45,020	127,485
Total Expenditures	29,619,376	2,559,521	1,600,038	792,103	26,082	5,525,480	40,122,600
Excess (Deficiency) of Revenues over (under) Expenditures	1,009,467	(150,694)	4,305	(790,995)	(26,082)	1,805,873	1,851,874
Other Financing Sources (Uses):							
Bonds, loans and notes issued	892,834	-	-	-	-	116,030	1,008,864
Payments held by escrow agent	-	-	-	-	249,766	-	249,766
Payment to QSCB debt escrow agent	-	-	-	-	(249,766)	-	(249,766)
Sale of transportation equipment	6,152	-	-	-	-	-	6,152
Sale of other property	4,508	-	-	-	-	-	4,508
Operating transfers in	117,855	-	-	-	275,849	239,344	633,048
Operating transfers out	(515,193)	-	-	-	-	(117,855)	(633,048)
Other financing uses	-	-	-	-	(23,940)	-	(23,940)
Total Other Financing Sources (Uses)	506,156	-	-	-	251,909	237,519	995,584
Net Change in Fund Balances	1,515,623	(150,694)	4,305	(790,995)	225,827	2,043,392	2,847,458
Fund Balances:							
July 1, 2022, as previously reported	3,997,285	446,064	-	891,682	2,203,053	1,904,828	9,442,912
Prior period adjustments	-	-	(4,305)	-	-	(50,870)	(55,175)
July 1, 2022, as restated	3,997,285	446,064	(4,305)	891,682	2,203,053	1,853,958	9,387,737
Increase (Decrease) in inventory	-	27,076	-	-	-	-	27,076
June 30, 2023	\$ 5,512,908	\$ 322,446	\$ -	100,687	2,428,880	\$ 3,897,350	\$ 12,262,271

The notes to the financial statements are an integral part of this statement.

ITAWAMBA COUNTY SCHOOL DISTRICT
Governmental Funds

**Reconciliation of the Governmental Funds Statement of Revenues,
Expenditures and Changes in Fund Balances to the Statement of Activities
For the Year Ended June 30, 2023**

Exhibit D-1

Net change in fund balances - total governmental funds **\$ 2,847,458**

Amounts reported for governmental activities in the statement of activities are different because:

1. Governmental funds report capital outlay as expenditures. However, in the statement of activities, the cost of capital assets is allocated over their estimated useful lives as depreciation expense. In the current period, these amounts are:

Capital outlay	\$ 475,874	
Depreciation expense	<u>(1,191,548)</u>	(715,674)

2. In the statement of activities, only the gain/loss on the sale of assets is reported, while in the governmental funds, the proceeds from the sale increases financial resources. Thus, the change in net position differs from the change in fund balance by the cost of the assets sold.

(264)

3. The issuance of long-term debt provides current financial resources to governmental funds, while the repayment of the principal of long-term debt consumes the current financial resources of governmental funds. Neither transaction, however, has any effect on net position. Also, governmental funds report the effect of premiums, discounts and the difference between the carrying value of refunded debt and the acquisition cost of refunded debt when debt is first issued. These amounts are deferred and amortized in the statement of activities:

Bonds, loans and notes issued	(1,008,864)	
Payments of debt principal	637,565	
Accrued interest payable	<u>17,270</u>	(354,029)

4. Some items relating to pensions and reported in the statement of activities do not provide or require the use of current financial resources and therefore are not reported as revenues/expenditures in the governmental funds. The activities include:

Pension expense	(5,386,015)	
Contributions subsequent to the measurement date	<u>3,742,731</u>	(1,643,284)

5. Some items relating to OPEB and reported in the statement of activities do not provide or require the use of current financial resources and therefore are not reported as revenues/expenditures in the governmental funds. The activities include:

OPEB expense	220,593	
Contributions subsequent to the measurement date	<u>101,283</u>	321,876

6. Some items reported in the statement of activities do not provide or require the use of current financial resources and therefore are not reported as revenues/expenditures in governmental funds. These activities include:

Change in compensated absences	1,200	
Change in inventory	<u>27,076</u>	28,276

Change in Net Position of governmental activities **\$ 484,359**

The notes to the financial statements are an integral part of this statement.

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

Note 1 – Summary of Significant Accounting Policies

The accompanying financial statements of the school district have been prepared in conformity with generally accepted accounting principles (GAAP) as prescribed by the Governmental Accounting Standards Board (GASB). GASB is the accepted standard-setting body for governmental accounting and financial reporting principles. The most significant of the school district's accounting policies are described below.

A. Financial Reporting Entity

As defined by accounting principles generally accepted in the United States of America, the school district is considered a "primary government." The school district is governed by a five-member board to which each member is elected by the citizens of each defined county district.

For financial reporting purposes, Itawamba County School District has included all funds and organizations. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to or impose specific financial burdens on the District.

B. Government-wide and Fund Financial Statements

Government-wide Financial Statements – The Statement of Net Position and the Statement of Activities report information on all of the non-fiduciary activities of the District. For the most part, the effect of inter-fund activity has been removed from these statements. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business type activities, which rely to a significant extent on fees and charges for support.

The Statement of Net Position presents the District's non-fiduciary assets, deferred outflows, liabilities, and deferred inflows with the difference reported as net position. Net position is reported in three categories:

1. Net investment in capital assets consists of capital assets, net of accumulated depreciation, and reduced by outstanding balances of bonds, notes and other debt attributable to the acquisition, construction or improvement of those assets.
2. Restricted net position results when constraints placed on net position use are either externally imposed or imposed by law through constitutional provisions or enabling legislation.
3. Unrestricted net position consists of net position not meeting the definition of the two preceding categories. Unrestricted net position often has constraints on resources imposed by management which can be removed or modified.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function, or segment, are offset by program revenues. Direct expenses are those clearly identifiable with a specific function. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function and 2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property taxes and other items not included among program revenues are reported instead as general revenues.

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

Fund Financial Statements - Separate financial statements are provided for governmental funds. Major individual governmental funds are reported in separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as other governmental funds.

The school district reports the following major governmental funds:

General Fund - This is the school district's primary operating fund. The general fund is used to account for and report all financial resources not accounted for and reported in another fund.

Food Service Fund - This is a special revenue fund that accounts for the federal funds received and expenditures incurred associated with providing school food service for students.

ESSER II Fund – This is a special revenue fund that accounts for funds related to a grant that provides significant funding to support K-12 education in response to the COVID-19 pandemic.

Senate Bill 2971 Fund – This is a special revenue fund to account for the issuance of general obligation bonds for the purpose of making capital improvements.

QSCB Fund – This is a debt service fund used to account for the repayment of the district's qualified school construction bonds.

All other governmental funds not meeting the criteria established for major funds are presented in the other governmental column of the fund financial statements.

Additionally, the school district reports the following fund types:

GOVERNMENTAL FUNDS

Special Revenue Funds - Special Revenue Funds are used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects.

Capital Projects Funds - Capital Projects Funds are used to account for and report financial resources that are restricted, committed, or assigned to expenditure for capital outlays, including the acquisition or construction of capital facilities and other capital assets.

Debt Service Funds - Debt Service Funds are used to account for and report financial resources that are restricted, committed, or assigned to expenditure for principal and interest.

C. Measurement Focus, Basis of Accounting, and Financial Statement Presentation

In the government-wide Statement of Net Position and Statement of Activities, governmental activities are presented using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned, and expenses are recorded when a liability is incurred or economic asset used, regardless of the timing of the related cash flows. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Measurable means knowing or being able to reasonably estimate the amount. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year end. Expenditures (including capital outlay) are recorded when the related fund

ITAWAMBA COUNTY SCHOOL DISTRICT

Notes to the Financial Statements

For the Year Ended June 30, 2023

liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and judgments, are recorded only when payment is due.

Federal grants and assistance awards made on the basis of entitlement periods are recorded as receivables and revenues when entitlement occurs. Federal reimbursement type grants are recorded as revenues when the related expenditures are recognized. Use of grant resources is conditioned upon compliance with terms of the grant agreements and applicable federal regulations, which include subjecting grants to financial and compliance audits.

Property taxes, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual.

Ad valorem property taxes are levied by the governing authority of the county on behalf of the school district based upon an order adopted by the school board of the school district requesting an ad valorem tax effort in dollars. Since the taxes are not levied and collected by the school district, the revenues to be generated by the annual levies are not recognized until the taxes are actually collected by the tax levying authority.

Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under leases are reported as other financing sources.

Under the terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

The effect of inter-fund activity has been eliminated from the government-wide statements.

Revenues from the Mississippi Adequate Education Program are appropriated on a fiscal year basis and are recorded at the time the revenues are received from the State of Mississippi.

The account classifications used in the financial statements conform to the broad classifications recommended in *Governmental Accounting, Auditing, and Financial Reporting*, issued in 2012 by the Government Finance Officers Association and are consistent with the broad classifications recommended in *Financial Accounting for Local and State School Systems, 2014*, issued by the U.S. Department of Education.

D. Encumbrances

An encumbrance system is maintained to account for commitments or assignments resulting from approved purchase orders, work orders and contracts. However, the school district attempts to liquidate all encumbrances at year-end. Encumbrances outstanding at year-end are not reported within committed or assigned fund balances.

E. Assets, liabilities, deferred outflows/inflows, and net position/fund balances

1. Cash, Cash equivalents and Investments

Cash and cash equivalents

The district's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with original maturities of three months or less from the

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

date of acquisition. The school district deposits excess funds in the financial institutions selected by the school board. State statutes specify how these depositories are to be selected.

Investments

The school district can invest its excess funds, as permitted by Section 29-3-113, Miss. Code Ann. (1972), in interest-bearing deposits or other obligations of the types described in Section 27-105-33, Miss. Code Ann. (1972), or in any other type investment in which any other agency, instrumentality or subdivision of the State of Mississippi may invest, except that 100% of said funds are authorized to be so invested.

For accounting purposes, certificates of deposit are classified as investments if they have an original maturity greater than three months when acquired.

Investments for the district are reported at fair market value.

2. Receivables and payables

Activities between funds that are representative of lending/borrowing arrangements outstanding at the end of the fiscal year are referred to as either "due to/from other funds" (i.e., the current portion of inter-fund loans) or "advances to/from other funds" (i.e. the non-current portion of inter-fund loans). All other outstanding balances between funds are reported as "due to/from other funds."

Advances between funds, as reported in the fund financial statements, are offset by a fund balance reserve account in applicable governmental funds to indicate that they are not available for appropriation and are not expendable available financial resources.

3. Due from Other Governments

Due from other governments represents amounts due from the State of Mississippi and various grants and reimbursements from other governments.

4. Inventories and Prepaid Items

Donated commodities are received from the USDA and are valued at USDA cost. Other inventories are valued at cost (calculated on the first-in, first-out basis). The costs of governmental fund type inventories are reported as expenditures when purchased.

Prepaid items, such as prepaid insurance, are not reported for governmental fund types since the payments of such items reflect costs applicable to future accounting periods.

5. Restricted Assets

Certain resources set aside for repayment of debt are classified as restricted assets on the Statement of Net Position because their use is limited by applicable debt statutes, e.g. Qualified School Construction Bond sinking funds. Also, the nonexpendable portion of the

Permanent Fund, if applicable, is classified as restricted assets because the 16th Section Principal fund is not available for use by the district except as provided for under state statute for loans from this fund.

6. Capital Assets

Capital assets include land, improvements to land, easements, water rights, timber rights,

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

buildings, building improvements, vehicles, machinery, equipment, works of art and historical treasures, infrastructure, and all other tangible or intangible assets that are used in

operations and that have initial useful lives extending beyond a single reporting period. Capital assets are reported in the applicable governmental or business type activities columns in the government-wide Statement of Net Position. Capital assets are recorded at historical cost or estimated historical cost based on appraisals or deflated current replacement cost. Donated capital assets are recorded at estimated fair market value at the date of donation. The costs of normal maintenance and repair that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the thresholds in the table below.

Capital acquisition and construction are reflected as expenditures in the Governmental Fund statements and the related assets are reported as capital assets in the governmental activities' column in the government-wide financial statements.

Depreciation is calculated on the straight-line basis for all assets, except land.

The following schedule details the capitalization thresholds:

	Capitalization Policy	Estimated Useful Life
Land	\$ 0	0
Buildings	50,000	40 years
Building improvements	25,000	20 years
Improvements other than buildings	25,000	20 years
Mobile equipment	5,000	5-10 years
Furniture and equipment	5,000	3-7 years
Leased property	**	**
Subscription IT asset	**	**

(**) The estimated useful life is the term of the lease or subscription agreement. There is no mandated maximum amortization period. Intangible assets with indefinite useful lives should not be amortized.

The term 'depreciation' includes the amortization of intangible assets.

7. Deferred outflows/inflows of resources

In addition to assets, the statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period(s) and so will not be recognized as an outflow of resources (expense/expenditure) until then.

Deferred outflows of resources related to pensions
Deferred outflows of resources related to OPEB (Other post-employment benefits)

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net position that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time.

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Notes to the Financial Statements
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Deferred inflows of resources related to pensions
Deferred inflows of resources related to OPEB (Other post-employment benefits)

See Notes 7, 8, and 12 for further details.

8. Compensated Absences

Employees of the school district accumulate sick leave at a minimum amount as required by state law. A greater amount may be provided by school district policy provided that it does not exceed the provisions for leave as provided in Sections 25-3-93 and 25-3-95. Some employees are allowed personal leave and/or vacation leave in accordance with school district policy. The district pays for unused leave for employees as required by Section 37-7-307(5), Miss. Code Ann. (1972).

The liability for these compensated absences is recorded as a long-term liability in the government-wide statements. The current portion of this liability is estimated based on historical trends. In the fund financial statements, governmental funds report the liability for compensated absences from expendable available financial resources only if the payable has matured, for example, an employee retires.

9. Leases

The Governmental Accounting Standards Board (GASB) issued Statement No. 87, Leases (GASB 87) to establish a single leasing model for accounting and reporting purposes. This guidance is intended to enhance the accountability, consistency and comparability of lease activities reported by governments. GASB 87 was implemented during fiscal year 2022.

When acting as the lessee, the school district uses the Federal prime borrowing rate in effect at the date of the lease inception to calculate the present value of lease payments when the rate implicit in the lease is not known.

10. Subscription-Based Information Technology Arrangements

The Governmental Accounting Standards Board (GASB) issued Statement No. 96, Subscription-Based Information Technology Arrangements (SBITAs) (GASB 96) to establish uniform accounting and financial reporting requirements for SBITAs, to improve comparability of financial statements among governments that have entered into SBITAs, and to enhance understandability, reliability, relevance and consistency of information about SBITAs. The school district implemented GASB 96 in fiscal year 2023.

11. Long-term Liabilities and Bond Discounts/Premiums

In the government-wide financial statements, outstanding debt is reported as liabilities. Bond discounts or premiums and the difference between reacquisition price and the net carrying value of refunded debt are capitalized and amortized over the terms of the respective bonds using a method that approximates the effective interest method.

The governmental fund financial statements recognize the proceeds of debt and premiums as other financing sources of the current period. Issuance costs are reported as expenditures. See Note 6 for details.

12. Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Public Employees' Retirement System (PERS) and additions

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

to/deductions from PERS' fiduciary net position have been determined on the same basis as they are reported by PERS. For this purpose, the benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

13. Postemployment Benefits Other than Pensions (OPEB)

For purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB, and OPEB expense, information about the fiduciary net position of the State and School Employees' Life and Health Plan (OPEB Plan) and additions to/deductions from the OPEB Plan's fiduciary net position have been determined on the same basis as they are reported by the OPEB Plan. For this purpose, benefit payments are recorded when the OPEB benefits come due. Investments are reported at fair value as determined by the state.

14. Fund Balances

Fund balance for governmental funds is reported in classifications that comprise a hierarchy based primarily on the extent to which the government is bound to honor constraints on the specific purposes for which amounts in those funds can be spent.

Governmental fund balance is classified as non-spendable, restricted, committed, assigned or unassigned. Following are descriptions of fund classifications used by the district:

Non-spendable fund balance includes items that cannot be spent. This includes activity that is not in a spendable form (inventories, prepaid amounts, long-term portion of loans/notes receivable, or property held for resale unless the proceeds are restricted, committed, or assigned) and activity that is legally or contractually required to remain intact, such as a principal balance in a permanent fund.

Restricted fund balance includes amounts that have constraints placed upon the use of the resources either by an external party or imposed by law through a constitutional provision or enabling legislation.

Committed fund balance includes amounts that can be used only for the specific purposes pursuant to constraints imposed by a formal action of the School Board, the District's highest level of decision-making authority. This formal action is a resolution approved by the School Board. Currently there is no committed fund balance for this school district.

Assigned fund balance includes amounts that are constrained by the District's intent to be used for a specific purpose, but are neither restricted nor committed. For governmental funds, other than the general fund, this is the residual amount within the fund that is not restricted or committed. Assignments of fund balance are created by the Superintendent and the Business Manager pursuant to authorization established by the District's approved fund balance policy.

Unassigned fund balance is the residual classification for the general fund. This classification represents fund balance that has not been assigned to other funds and that has not been restricted, committed, or assigned to specific purposes within the general fund. The general fund should be the only fund that reports a positive unassigned fund balance amount. In other governmental funds, it may be necessary to report a negative unassigned fund balance.

When an expenditure/expense is incurred for purposes for which both restricted and unrestricted (committed, assigned, or unassigned) resources are available, it is the District's general policy to use restricted resources first. When expenditures/expenses are incurred for purposes for which unrestricted (committed, assigned, and unassigned) resources are

ITAWAMBA COUNTY SCHOOL DISTRICT
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For the Year Ended June 30, 2023

available, and amounts in any of these unrestricted classifications could be used, it is the District's general policy to spend committed resources first, followed by assigned amounts, and then unassigned amounts.

15. Accounting Standards Update

GASB 96, *Subscription-Based Information Technology Arrangements*, was implemented during the 2023 fiscal year. Prior to the issuance of this statement there was no accounting or financial reporting guidance specifically for SBITAs. The purposes of the standard is to establish uniform accounting and financial reporting requirements for SBITAs, to improve comparability of financial statements among governments that have entered into SBITAs, and to enhance understandability, reliability, relevance, and consistency of information about SBITAs.

Note 2 – Cash and Cash Equivalents and Cash with Fiscal Agents and Investments

The district follows the practice of aggregating the cash assets of various funds to maximize cash management efficiency and returns. Restrictions on deposits and investments are imposed by statutes as follows:

Deposits. The school board must advertise and accept bids for depositories no less than once every three years as required by Section 37-7-333, Miss. Code Ann. (1972). The collateral pledged for the school district's deposits in financial institutions is held in the name of the State Treasurer under a program established by the Mississippi State Legislature and is governed by Section 27-105-5, Miss. Code Ann. (1972). Under this program, the entity's funds are protected through a collateral pool administered by the State Treasurer. Financial institutions holding deposits of public funds must pledge securities as collateral against those deposits. In the event of failure of a financial institution, securities pledged by that institution would be liquidated by the State Treasurer to replace the public deposits not covered by the Federal Deposit Insurance Corporation.

Investments. Section 29-3-113 and 37-59-43, Miss. Code Ann. (1972), authorizes the school board to invest excess funds in the types of investments authorized by Section 27-105-33(d) and (e), Miss. Code Ann. (1972). This section permits the following types of investments: (a) certificates of deposit or interest bearing accounts with qualified state depositories; (b) direct United States Treasury obligations; (c) United States Government agency, United States Government instrumentality or United States Government sponsored enterprise obligations, not to exceed fifty percent of all monies invested with maturities of thirty days or longer; (d) direct security repurchase agreements and reverse direct security repurchase agreements of any federal book entry of only those securities enumerated in (b) and (c) above; (e) direct obligations issued by the United States of America that are deemed to include securities of, or other interests in, any open-end or closed-end management type investment company or investment trust approved by the State Treasurer and the Executive Director of the Department of Finance and

Administration, not to exceed twenty percent of invested excess funds. Investment income on bond funds (Capital Projects), bond sinking funds (Debt Service Funds) and sixteenth section principal funds (Permanent Funds) must be credited to those funds. Investment income of \$100 or more of any fund must be credited to that fund. Investment income of less than \$100 can be credited to the General Fund.

Cash and Cash Equivalents

The carrying amount of the school district's deposits with financial institutions reported in the governmental funds was \$9,592,723.

Custodial Credit Risk - Deposits. Custodial credit risk is defined as the risk that, in the event of the failure of a financial institution, the district will not be able to recover deposits or collateral securities that are in the possession of an outside party. The district does not have a deposit policy for custodial credit risk. In the event of failure of a financial institution, securities pledged by that institution would be liquidated by the

ITAWAMBA COUNTY SCHOOL DISTRICT
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For the Year Ended June 30, 2023

State Treasurer to replace the public deposits not covered by the Federal Deposit Insurance Corporation. Deposits above FDIC coverage are collateralized by the pledging financial institution's trust department or agent in the name of the Mississippi State Treasurer on behalf of the district. As of June 30, 2023, none of the district's bank balance of \$11,185,435 was exposed to custodial credit risk.

Cash with Fiscal Agents

The carrying amount of school district's cash with fiscal agents held by financial institutions was \$244.

Investments

As of June 30, 2023, the district had the following investments.

Investment Type	Rating	Maturities (in years)	Fair Value
QSCB Construction Bonds Common Trust Funds 2010	N/A	Various	\$ <u>2,428,636</u>

The district categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are significant unobservable inputs.

The district has the following recurring fair value measurements as of June 30, 2023:

U.S. Government Securities type of investments of \$2,428,636 are valued quoted market prices (Level 1 inputs)

Interest Rate Risk. The district does not have a formal investment policy that limits investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates.

Credit Risk. State law limits investments to those prescribed in Sections 27-105-33(d) and 27-105-33(e), Miss. Code Ann. (1972). The district does not have a formal investment policy that would further limit its investment choices or one that addresses credit risk.

Custodial Credit Risk - Investments. Custodial credit risk is defined as the risk that, in the event of the failure of the counterparty, the district will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The district does not have a formal investment policy that addresses custodial credit risk. As of June 30, 2023, the district did not have any investments to which this would apply.

Concentration of Credit Risk. Disclosure of investments by amount and issuer for any issuer that represents five percent or more of total investments is required. This requirement does not apply to investments issued or explicitly guaranteed by the U.S. government, investments in mutual funds and external investment pools, and other pooled investments. As of June 30, 2023, the district had the following investments:

Issuer	Fair Value	% of Total Investments
QSCB Construction Bonds Common Trust Funds 2010	\$ <u>2,428,636</u>	100%

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

Note 3 – Inter-fund Receivables, Payables and Transfers

The following is a summary of inter-fund transactions and balances:

A. Due From/To Other Funds

Receivable Fund	Payable Fund	Amount
General Fund	Food Service Fund	\$ 257,227
	ESSER II Fund	808,036
	Other governmental Funds	752,530
Other governmental funds	General Fund	116,030
Total		<u>\$ 1,933,823</u>

The purpose of the inter-fund loans was to cover federal and state funds not received prior to year-end.

B. Inter-fund Transfers

Transfers Out	Transfers In	Amount
Other governmental funds	General Fund	\$ 117,855
General Fund	QSCB Fund	275,849
General Fund	Other governmental funds	239,344
Total		<u>\$ 633,048</u>

The primary reason for the interfund transfers was for debt service requirements, federal grant allocations and the funding of various programs within the district.

Note 4 – Restricted Assets

In addition, the restricted assets represent the cash with fiscal agents and investment balance, totaling \$244, and \$2,428,636, respectively, of the QSCB Fund.

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

Note 5 – Capital Assets

The following is a summary of changes in capital assets for governmental activities:

	Balance 7/1/2022	Increases	Decreases	Completed Construction	Adjustments	Balance 6/30/2023
Governmental Activities:						
<u>Non-depreciable capital assets:</u>						
Land	\$ 1,161,634					\$ 1,161,634
Construction in progress	1,742,345	84,075		(1,826,420)		-
Total non-depreciable capital assets	2,903,979	84,075	-	(1,826,420)	-	1,161,634
<u>Depreciable capital assets:</u>						
Buildings	37,080,665			1,826,420		38,907,085
Building improvements	1,066,992					1,066,992
Improvements other than buildings	1,785,435					1,785,435
Mobile equipment	5,590,506	346,917			68,569	6,005,992
Furniture and equipment	1,255,792	44,882	26,340		121,679	1,396,013
Total depreciable capital assets	46,779,390	391,799	26,340	1,826,420	190,248	49,161,517
<u>Less accumulated depreciation for:</u>						
Buildings	17,395,906	727,088				18,122,994
Building improvements	465,025	41,082				506,107
Improvements other than buildings	1,130,635	35,607			1,013	1,167,255
Mobile equipment	3,962,561	296,187			6,171	4,264,919
Furniture and equipment	1,060,633	91,584	26,076		18,848	1,144,989
Total accumulated depreciation	24,014,760	1,191,548	26,076	-	26,032	25,206,264
Total depreciable capital assets, net	22,764,630	(799,749)	264	1,826,420	164,216	22,128,833
Governmental activities capital assets, net	\$ 25,668,609	(715,674)	264	-	164,216	\$ 25,116,887

Adjustments were made to correctly present capital assets at year end.

Depreciation expense was charged to the following governmental functions:

Governmental Activities:	Amount
Instruction	\$ 591,587
Support services	561,103
Non-instructional	38,858
Total depreciation expense	\$ 1,191,548

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

Note 6 – Long-term Liabilities

The following is a summary of changes in long-term liabilities and other obligations for governmental activities:

	Balance 7/1/2022	Additions	Reductions	Balance 6/30/2023	Amounts due within one year
A. Three mill notes payable	\$ 2,745,000		330,000	2,415,000	335,000
B. Shortfall notes payable	58,076	385,864	28,833	415,107	152,866
C. Obligations under energy efficiency loan	2,321,324		145,028	2,176,296	147,972
D. Installment purchases loans payable	412,123		133,704	278,419	137,341
E. Qualified school construction bonds payable	2,873,000			2,873,000	
F. Other loans payable		623,000		623,000	62,300
G. Compensated absences payable	391,515		1,200	390,315	19,516
Total	\$ 8,801,038	1,008,864	638,765	9,171,137	854,995

A. Three mill notes payable

Debt currently outstanding is as follows:

Description	Interest Rate	Issue Date	Maturity Date	Amount Issued	Amount Outstanding
Three mill notes, Series 2020	1.61%	09-01-20	06-01-30	\$ 3,400,000	\$ 2,415,000

The following is a schedule by years of the total payments due on this debt:

Year Ending June 30,	Principal	Interest	Total
2024 \$	335,000	38,882	373,882
2025	340,000	33,488	373,488
2026	345,000	28,014	373,014
2027	350,000	22,460	372,460
2028	345,000	16,825	361,825
2029-2030	700,000	11,270	711,270
Total \$	2,415,000	150,939	2,565,939

This debt will be retired from the Three Mill Note Fund.

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

B. Shortfall notes payable

Debt currently outstanding is as follows:

Description	Interest Rate	Issue Date	Maturity Date	Amount Issued	Amount Outstanding
Shortfall Note 2020	1.42%	08-11-20	08-11-23	\$ 86,505	\$ 29,243
Shortfall Note 2023	1.79%	05-15-23	05-01-26	385,864	385,864
Total				<u>\$ 472,369</u>	<u>\$ 415,107</u>

The outstanding amount is included in due from other governments on the Statement of Net Position.

The following is a schedule by years of the total payments due on this debt:

1. Shortfall Note 2020

Year Ending June 30,	Principal	Interest	Total
2024 \$	29,243	415	29,658

This debt will be retired from the Shortfall Debt Service Fund.

2. Shortfall Note 2023

Year Ending June 30,	Principal	Interest	Total
2024 \$	123,623	15,396	139,019
2025	128,556	10,463	139,019
2026	133,685	5,334	139,019
Total \$	385,864	31,193	417,057

This debt will be retired from the Shortfall Debt Service Fund.

Total shortfall notes payable payments for all issues:

Year Ending June 30,	Principal	Interest	Total
2024 \$	152,866	15,811	168,677
2025	128,556	10,463	139,019
2026	133,685	5,334	139,019
Total \$	415,107	31,608	446,715

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

C. Obligations under energy efficiency loans

Debt currently outstanding is as follows:

Description	Interest Rate	Issue Date	Maturity Date	Amount Issued	Amount Outstanding
2020 Energy efficiency loan	2.03%	12-08-20	12-08-35	\$ 2,463,467	\$ 2,176,296

The following is a schedule by years of the total payments due on this debt:

Year Ending June 30,	Principal	Interest	Total
2024 \$	147,972	44,179	192,151
2025	150,976	41,175	192,151
2026	154,041	38,110	192,151
2027	157,168	34,983	192,151
2028	160,358	31,793	192,151
2029-2033	851,964	108,793	960,757
2034-2036	553,817	22,636	576,453
Total \$	2,176,296	321,669	2,497,965

An energy efficiency loan agreement dated December 8, 2020, was executed by and between the district and U.S. Bank.

The agreement authorized the borrowing of \$2,463,467 for the purchase of energy efficiency equipment, machinery, supplies, building modifications and other energy saving items. Payments shall be made from the district maintenance fund and not exceed twenty (20) years.

The district entered into this energy efficiency agreement under the authority of Section 31-7-14, Miss. Code Ann. (1972).

D. Installment purchase loans payable

The school district has entered into an installment purchase agreement for financing the acquisition of school buses at a cost of \$1,254,000 with a down payment of \$0.

Description	Interest Rate	Issue Date	Maturity Date	Amount Issued	Amount Outstanding
Installment purchase - buses	2.72%	12-15-14	12-15-24	\$ 1,254,000	\$ 278,419

The following is a schedule by years of the total payments due on this debt:

Year Ending June 30,	Principal	Interest	Total
2024 \$	137,341	7,573	144,914
2025	141,078	3,837	144,915
Total \$	278,419	11,410	289,829

This debt will be retired from the District Maintenance Fund.

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

E. Qualified school construction bonds payable

As more fully explained in Note 13, debt has been issued by the Itawamba County School District that qualifies as Qualified School Construction bonds. Debt currently outstanding is as follows:

Description	Interest Rate	Issue Date	Maturity Date	Amount Issued	Amount Outstanding
QSCB - 2010	0.84%	01-05-10	09-15-24	\$ 3,000,000	\$ 2,873,000

The following is a schedule by years of the total payments due on this debt:

Year Ending June 30,	Principal	Interest	Total
2024 \$		24,133	24,133
2025	2,873,000	-	2,873,000
Total \$	2,873,000	24,133	2,897,133

This debt will be retired from the QSCB Debt Service Fund.

F. Other loans payable

The school district has issued debt instruments granted under the authority of Miss Code Ann. 37-47-25.

Description	Interest Rate	Issue Date	Maturity Date	Amount Issued	Amount Outstanding
Other loans - EFRL	0.00%	05-01-23	05-01-33	\$ 623,000	\$ 623,000

The following is a schedule by years of the total payments due on this debt:

Year Ending June 30,	Principal
2024 \$	62,300
2025	62,300
2026	62,300
2027	62,300
2028	62,300
2029-2033	311,500
Total \$	623,000

G. Compensated absences payable

As more fully explained in Note 1(E)(8), compensated absences payable is adjusted on an annual basis as required by Section 37-7-307(5), Miss. Code Ann. (1972). Compensated absences will be paid from the fund from which the employees' salaries were paid.

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

Note 7 – Defined Benefit Pension Plan

General Information about the Pension Plan

Plan Description. The school district contributes to the Public Employees' Retirement System of Mississippi (PERS), a cost-sharing multiple-employer defined benefit pension plan. PERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Plan provisions and the Board of Trustees' authority to determine contribution rates are established by Miss. Code Ann. Section 25-11-1 et seq., (1972, as amended) and may be amended only by the Mississippi Legislature. PERS issues a publicly available financial report that includes financial statements and required supplementary information. That report is available at www.pers.ms.gov.

Benefits provided. Membership in PERS is a condition of employment granted upon hiring for qualifying employees and officials of the State of Mississippi, state universities, community and junior colleges, and teachers and employees of the public school districts. For those persons employed by political subdivisions and instrumentalities of the State of Mississippi, membership is contingent upon approval of the entity's participation in PERS by the PERS' Board of Trustees. If approved, membership for the entity's employees is a condition of employment and eligibility is granted to those who qualify upon hiring. Participating members who are vested and retire at or after age 60 or those who retire regardless of age with at least 30 years of creditable service (25 years of creditable service for employees who became members of PERS before July 1, 2011) are entitled, upon application, to an annual retirement allowance payable monthly for life in an amount equal to 2.0 percent of their average compensation for each year of creditable service up to and including 30 years (25 years for those who became members of PERS before July 1, 2011), plus 2.5 percent for each additional year of creditable service with an actuarial reduction in the benefit for each year of creditable service below 30 years or the number of years in age that the member is below 65, whichever is less. Average compensation is the average of the employee's earnings during the four highest compensated years of creditable service. Benefits vest upon completion of eight years of membership service (four years of membership service for those who became members of PERS before July 1, 2007). PERS also provides certain death and disability benefits. A Cost-of-Living Adjustment (COLA) payment is made to eligible retirees and beneficiaries. The COLA is equal to 3.0 percent of the annual retirement allowance for each full fiscal year of retirement up to the year in which the retired member reaches age 60 (55 for those who became members of PERS before July 1, 2011), with 3.0 percent compounded for each fiscal year thereafter.

Contributions. PERS members are required to contribute 9.00% of their annual covered salary, and the school district is required to contribute at an actuarially determined rate. The employer's rate as of June 30, 2023 was 17.40% of annual covered payroll. Plan provisions and the Board of Trustees' authority to determine contribution rates are established by Section 25-11-1 of the Mississippi Code of 1972, as amended, and may be amended only by the Mississippi Legislature. The school district's contributions to PERS for the fiscal years ending June 30, 2023, 2022 and 2021 were \$3,742,731, \$3,389,622, and \$3,143,909, respectively, which equaled the required contributions for each year.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2023, the school district reported a liability of \$58,245,729 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2022, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on a projection of the school district's long-term share of contribution to the pension plan relative to projected contributions of all participating entities, actuarially determined. The school district's proportionate share used to calculate the June 30, 2023 net pension liability was 0.282971 percent, which was based on a measurement date of June 30, 2022. This was an increase of 0.011224 percent from its proportionate share used to calculate the June 30, 2022 net pension liability, which was based on a measurement date of June 30, 2021.

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

For the year ended June 30, 2023, the District recognized pension expense of \$5,386,015. At June 30, 2023 the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 802,099	\$
Net difference between projected and actual earnings on pension plan investments	5,234,659	
Changes of assumptions	1,934,589	
Changes in proportion and differences between District contributions and proportionate share of contributions	1,186,992	1,067,244
District contributions subsequent to the measurement date	3,742,731	
Total	\$ <u>12,901,070</u>	\$ <u>1,067,244</u>

\$3,742,731 reported as deferred outflows of resources related to pensions resulting from school district contributions subsequent to the measurement date will be recognized as a reduction to the net pension liability in the year ended June 30, 2024. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ended June 30:	
2024	\$ 2,228,137
2025	2,705,538
2026	(3,152)
2027	3,160,572
Total	<u>8,091,095</u>

Actuarial assumptions. The total pension liability as of June 30, 2022 was determined by actuarial valuation prepared as of June 30, 2021, and by the investment experience for the fiscal year ending June 30, 2022. The following actuarial assumptions are applied to all periods included in the measurement:

Inflation	2.40 percent
Salary increases	2.65 – 17.90 percent, including inflation
Investment rate of return	7.55 percent, net of pension plan investment expense, including inflation

Mortality rates for service retirees were based on the PubS.H-2010(B) Retiree Table with the following adjustments: For males, 95% of male rates up to age 60, 110% for ages 61 to 75 and 101% for ages above 77. For females, 84% of female rates up to age 72 and 100% for ages above 76. Mortality rates for disability retirees were based on the PubG.H-2010 Disabled Table adjusted 134% for males and 121% for females. Mortality rates for Contingent Annuitants were based on the PubS.H-2010(B) Contingent Annuitant Table, adjusted 97% for males and 110% for females. Mortality rates will be projected generationally using the MP-2020 projection scale to account for future improvements in life expectancy.

The actuarial assumptions used for the purposes of determining the total pension liability were based on the results of an actuarial experience study for the period July 1, 2016 to June 30, 2020. The experience report is dated April 20, 2021.

ITAWAMBA COUNTY SCHOOL DISTRICT

Notes to the Financial Statements

For the Year Ended June 30, 2023

The long-term expected rate of return on pension plan investments was determined using a log-normal distribution analysis in which best-estimate ranges of expected future real rates of return (expected nominal returns, net of pension plan investment expense and the assumed rate of inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The most recent target asset allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

<u>Asset Class</u>	<u>Target Allocation</u>	<u>Long-Term Expected Real Rate of Return</u>
Domestic Equity	25.00 %	4.60 %
International Equity	20.00	4.50
Global Equity	12.00	4.85
Fixed Income	18.00	1.40
Real Estate	10.00	3.65
Private Equity	10.00	6.00
Private Infrastructure	2.00	4.00
Private Credit	2.00	4.00
Cash Equivalents	1.00	(0.10)
Total	100 %	

Discount rate. The discount rate used to measure the total pension liability was 7.55 percent. The projection of cash flows used to determine the discount rate assumed that plan member contributions will be made at the current contribution rate (9.00%) and that employer contributions will be made at the current contribution rate (17.40%). Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's proportionate share of the net pension liability to changes in the discount rate. The following table presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.55%, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.55%) or 1-percentage-point higher (8.55%) than the current rate:

	<u>1% Decrease (6.55%)</u>	<u>Current Discount Rate (7.55%)</u>	<u>1% Increase (8.55%)</u>
District's proportionate share of the net pension liability	\$ 76,016,625	\$ 58,245,729	\$ 43,594,529

Pension plan fiduciary net position. Detailed information about the pension plan's fiduciary net position is available in the separately issued PERS financial report.

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

Note 8 – Other Postemployment Benefits (OPEB)

General Information about the OPEB Plan.

Plan description. State law mandates that all state, public education, library, junior and community college and retiring employees be offered health and life benefit coverage through the State and School Employees' Life and Health Insurance Plan (the Plan). The Plan was established by Section 25-15-3 et seq., Mississippi Code Ann. (1972), which may be amended only by the State Legislature. The State and School Employees' Health Insurance Management Board (the Board) administers the Plan. The Board has the sole legal authority to promulgate rules and regulations governing the operations of the Plan within the confines of the law governing the Plan. The Plan is self-insured and is financed through premiums collected from employers, employees, retirees and COBRA participants. The Plan provides for Other Postemployment Benefits (OPEB) as a multiple-employer defined benefit OPEB plan. The plan issues a publicly available financial report that can be obtained at <http://knowyourbenefits.dfa.ms.gov/>.

Benefits provided.

The Plan was formed by the State Legislature to provide group health and life benefits to full-time active and retired employees of the State, agencies, universities, community/junior colleges, public school districts and public libraries. In addition, the spouse and/or children of covered employees and retirees, as well as surviving spouses and COBRA participants, may be eligible for health insurance coverage under the Plan. Benefits of the OPEB Plan consist of an implicit rate subsidy, which is essentially the difference between the average cost of providing health care benefits to retirees under age 65 and the average cost of providing health care benefits to all participants when premiums paid by retirees are not age adjusted. Employees' premiums are funded primarily by their employers. Retirees must pay their own premiums, as do active employees for spouse and dependent medical coverage. The Board has the sole authority for setting life and health insurance premiums for the Plan. Per Section 12-15-15 (10) Mississippi Code Ann. (1972), a retired employee electing to purchase retiree life and health insurance must pay the full cost of such insurance premium. If the Board determined actuarially that the premium paid by the participating retirees adversely affects the overall cost of the Plan to the State, then the Board may impose a premium surcharge, not to exceed 15%, upon such participating retired employees who are under the age for Medicare eligibility and who are initially employed before January 1, 2006. For participating retired employees who are under the age for Medicare eligibility and who are initially employed on or after January 1, 2006, the Board may impose a premium surcharge in an amount the Board determined actuarially to cover the full cost of insurance. The Plan offers a Base option and a Select option for health benefits for non-Medicare participants. The Plan includes a separate coverage level for Medicare eligible retirees, Medicare Eligible surviving spouses, and Medicare eligible dependents of retirees and surviving spouses.

Contributions.

The Board has the sole authority for setting life and health insurance premiums for the Plan. The required premiums vary based on the plan selected and the type of participant. Employers pay no premiums for retirees while employees' premiums are funded primarily by their employer. Contributions to the OPEB plan from the District were \$101,283 for the year ended June 30, 2023.

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

OPEB Liabilities, OPEB Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources related to OPEB

At June 30, 2023, the District reported a liability of \$2,028,171 for its proportionate share of the net OPEB liability. The net OPEB liability was measured as of June 30, 2022, and the total OPEB liability used to calculate the net OPEB liability was determined by an actuarial valuation as of that date. The basis for the District's proportion is determined by comparing the employer's average monthly employees participating in the Plan with the total average employees participating in the Plan in the fiscal year of all employers. The allocation was utilized because the level of premiums contributed by each employer is the same for any employee regardless of plan participation elections made by the employee. At the measurement date of June 30, 2022, the District's proportion was 0.41165754 percent. This was an increase of 0.02739580 percent from the proportionate share as of the measurement date of June 30, 2021.

For the year ended June 30, 2023, the District recognized OPEB expense of (\$220,593). At June 30, 2023, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 1,680	\$ 878,687
Changes of assumptions	316,326	187,782
Net difference between projected and actual earnings on OPEB plan investments	140	
Changes in proportion and differences between District contributions and proportionate share of contributions	260,290	31,250
District contributions subsequent to the measurement date	101,283	
Total	\$ <u>679,719</u>	\$ <u>1,097,719</u>

\$101,283 reported as deferred outflows of resources related to OPEB resulting from school district contributions subsequent to the measurement date will be recognized as a reduction to the net OPEB liability in the year ended June 30, 2024. Other amounts reported as deferred outflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year Ending June 30:	
2024	\$ (133,553)
2025	(116,632)
2026	(127,591)
2027	(87,347)
2028	(38,684)
Thereafter	(15,476)
Total	\$ <u>(519,283)</u>

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

Actuarial assumptions. The total OPEB liability was determined by an actuarial valuation as of June 30, 2022, using the following key actuarial assumptions and other inputs:

Inflation	2.40 percent
Salary increases	2.65-17.90 percent, including wage inflation
Municipal Bond Index Rate	
Measurement Date	3.37%
Prior Measurement Date	2.13%
Year FNP is projected to be depleted	
Measurement Date	2022
Prior Measurement Date	2021
Single Equivalent Interest Rate, net of OPEB plan investment expense, including inflation	
Measurement Date	3.37%
Prior Measurement Date	2.13%
Health Care Cost Trends	
Medicare Supplement Claims	7.00% for 2023 decreasing to an ultimate
Pre-Medicare	rate of 4.50% by 2029 FYE

Mortality rates for service retirees were based on the PubS.H-2010(B) Retiree Table with the following adjustments: For males, 95% of male rates up to age 60, 110% for ages 61 to 75 and 101% for ages above 77. For females, 84% of female rates up to age 72 and 100% for ages above 76. Mortality rates for disability retirees were based on the PubG.H-2010 Disabled Table adjusted 134% for males and 121% for females.

Mortality rates for Contingent Annuitants were based on the PubS.H-2010(B) Contingent Annuitant Table, adjusted 97% for males and 110% for females. Mortality rates will be projected generationally using the MP-2020 projection scale to account for future improvements in life expectancy.

The demographic actuarial assumptions used in the June 30, 2022 valuation were based on the results of the last actuarial experience study, dated April 20, 2021.

The remaining actuarial assumptions (e.g., initial per capita costs, health care cost trends, rate of plan participation, rates of plan election, etc.) used in the June 30, 2022 valuation were based on a review of recent plan experience done concurrently with the June 30, 2022 valuation.

The long-term expected rate of return on OPEB plan investments is 4.50%.

Discount rate. The discount rate used to measure the total OPEB liability at June 30, 2022 was 3.37 percent. Since the Prior Measurement Date, the Discount Rate has changed from 2.13% to 3.37%.

The trust was established on June 28, 2018 with an initial contribution of \$1,000,000. As of June 30, 2022, the trust has \$1,049,208. The fiduciary net position is projected to be depleted immediately, therefore, the Municipal Bond Index Rate is used in the determination of the discount rate for both the June 30, 2021 and the June 30, 2022 total OPEB liability. The discount rate used to measure the total OPEB liability at June 30, 2022 was based on a monthly average of the Bond Buyers General Obligation 20-year Municipal Bond Index Rate.

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

Sensitivity of the District's proportionate share of the net OPEB liability to changes in the discount rate. The following presents the District's proportionate share of the net OPEB liability, as well as what the District's proportionate share of the net OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (2.37 percent) or 1-percentage-point higher (4.37 percent) than the current discount rate:

	1% Decrease (2.37%)	Current Discount Rate (3.37%)	1% Increase (4.37%)
Net OPEB liability	\$ 2,234,280	\$ 2,028,171	\$ 1,851,125

Sensitivity of the District's proportionate share of the net OPEB liability to changes in the healthcare cost trend rates. The following presents the District's proportionate share of the net OPEB liability, as well as what the District's proportionate share of the net OPEB liability would be if it were calculated using healthcare cost trend rates that are 1-percentage-point lower or 1-percentage-point higher than the current healthcare cost trend rates:

	1% Decrease	Healthcare Cost Trend Rates Current	1% Increase
Net OPEB liability	\$ 1,887,067	\$ 2,028,171	\$ 2,186,964

OPEB plan fiduciary net position. Detailed information about the OPEB plan's fiduciary net position is available in a separately issued report that can be found at <http://knowyourbenefits.dfa.ms.gov/>.

Note 9 – Prior Period Adjustments

A summary of significant Net Position/Fund Balance adjustments is as follows:

Exhibit B – Statement of Activities

Explanation	Amount
1. To correctly present capital assets at year end	\$ 164,216
2. See explanation below	(55,175)
Total	\$ 109,041

Exhibit D – Statement of Revenues, Expenditures and Changes in Fund Balances

Fund	Explanation	Amount
ESSER II Fund	To correct assets/liabilities from prior year.	\$ (4,305)
Other Governmental Funds	To correct assets/liabilities from prior year.	(50,870)
Total		\$ (55,175)

ITAWAMBA COUNTY SCHOOL DISTRICT

Notes to the Financial Statements

For the Year Ended June 30, 2023

Note 10 – Contingencies

Federal Grants – The school district has received federal grants for specific purposes that are subject to audit by the grantor agencies. Entitlements to these resources are generally conditional upon compliance with the terms and conditions of the grant agreements and applicable federal regulations, including the expenditure of resources for allowable purposes. Any disallowances resulting from the grantor audit may become a liability of the school district.

Litigation – The school district is party to legal proceedings, many of which occur in the normal course of governmental operations. It is not possible at the present time to estimate the outcome or liability, if any, of the school district with respect to the various proceedings. However, the school district's legal counsel believes that ultimate liability resulting from these lawsuits will not have a material adverse effect on the financial condition of the school district.

Note 11 – Risk Management

The school district is exposed to various risks of loss related to torts; theft of, damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The district carries commercial insurance for these risks. Settled claims resulting from these ensured risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

Note 12 – Effect of Deferred Amounts on Net Position

The unrestricted net position amount of (\$45,121,254) includes the effect of deferring the recognition of expenses resulting from a deferred outflow from pensions. A portion of the deferred outflow of resources related to pension in the amount of \$3,742,731 resulting from the Itawamba County School District contribution subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2024. The \$9,158,339 balance of deferred outflow of resources related to pensions, at June 30, 2023 will be recognized as an expense and will decrease the unrestricted net position over the next 4 years.

The unrestricted net position amount of (\$45,121,254) includes the effect of deferring the recognition of revenue resulting from a deferred inflow from pensions. The \$1,067,244 balance of deferred inflow of resources related to pensions, at June 30, 2023 will be recognized as revenue and will increase the unrestricted net position over the next 3 years.

The unrestricted net position amount of (\$45,121,254) includes the effect of deferring the recognition of expenses resulting from a deferred outflow from OPEB. A portion of the deferred outflow of resources related to OPEB in the amount of \$101,283 resulting from the Itawamba County School District contribution subsequent to the measurement date will be recognized as a reduction of the net OPEB liability in the year ended June 30, 2024. The \$578,436 balance of deferred outflow of resources related to OPEB, at June 30, 2023 will be recognized as an expense and will decrease the unrestricted net position over the next 6 years.

The unrestricted net position amount of (\$45,121,254) includes the effect of deferring the recognition of revenue resulting from a deferred inflow from OPEB. The \$1,097,719 balance of deferred inflow of resources related to OPEB, at June 30, 2023 will be recognized as revenue and will increase the unrestricted net position over the next 6 years.

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

Note 13 – Qualified School Construction Bonds

Section 1521 of the American Recovery and Reinvestment Act (ARRA) of 2009 provides for a source of capital at no or at nominal interest rates for costs incurred by certain public schools in connection with the construction, rehabilitation or repair of a public school facility or for the acquisition of land where a school will be built. Investors receive Federal income tax credits at prescribed tax credit rates in lieu of interest, which essentially allows state and local governments to borrow without incurring interest costs. While Qualified School Construction Bonds (QSCBs) are intended to be interest free to a borrower, the ARRA legislation allows a lender to charge supplemental interest, and such supplemental interest is the responsibility of the Itawamba County School District.

When the stated interest rate on the QSCB results in interest payments that exceed the supplemental interest payments discussed in the preceding paragraph, the Itawamba County School District may apply for a direct cash subsidy payment from the U.S. Treasury which is intended to reduce the stated interest rate to a nominal percentage. These subsidy payments do not include the amount of any supplemental interest paid on a QSCB.

The school district makes equal annual payments into a sinking fund which is used to pay off the bonds at termination. The current maturity limit of tax credit bonds is 17 years, per the U. S. Treasury Department. Under this program, ten percent of the proceeds must be subject to a binding commitment to be spent within six months of issuance and 100% must be spent within three years. Up to two percent of bond proceeds can be used to pay costs of issuance. The amount on deposit in the sinking fund at June 30, 2023 was \$2,428,880. The amount accumulated in the sinking fund at the end of the seventeen-year period will be sufficient to retire the debt. The following schedule reports the annual deposits to be made to the sinking fund by the school district.

Year Ending	
June 30	Principal
2024 \$	<u>173,000</u>

Note 14 – Alternative School Consortium

The school district entered into an Alternative School Agreement dated July 1, 1995 creating the Northeast Mississippi Regional Alternative Educational Cooperative (NEMRAEC). This consortium was created pursuant to the provisions of Section 37-13-92 (6), Miss. Code Ann. (1972), and approved by the Mississippi Department of Education and includes the Booneville School District, the Itawamba County School District and Prentiss County School District. Section 37-13-92 (6), Miss. Code Ann. (1972), allows two or more adjacent school districts to enter into a contract to operate an alternative school program. The school board of the school district designated by the agreement as the lead district will serve as the governing board of the alternative school program. Transportation for students attending the alternative school program will be the responsibility of the individual school district sending the students. The Booneville School District has been designated as the lead school district for the Northeast Mississippi Regional Alternative Education Cooperative (NEMRAEC), and the operations of the consortium are included in its financial statements.

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Financial Statements
For the Year Ended June 30, 2023

Note 15 – Juvenile Detention Center Education Program

The Itawamba County School District shares in the cost of a Juvenile Detention Center with the Alcorn County Juvenile Detention Center. This program was in accordance with Section 43-21-321, Miss. Code Ann. (1972) which states a sponsoring school district must provide educational services to youths detained in juvenile detention centers. It was approved by the Mississippi Department of Education and includes the Aberdeen School District, Alcorn County School District, Amory School District, Itawamba County School District, Benton School District, Booneville School District, Corinth School District, Holly Springs School District, Marshall County School District, Monroe County School District, North Tippah School District, Prentiss County School District, South Tippah School District, and Tishomingo County School District. The school board of the school district designated by the agreement as the lead district will serve as the governing board of the juvenile detention center program. The Corinth School District has been designated as the lead school district for the Alcorn County Juvenile Detention Center and the operations of the program are included in its financial statements.

Note 16 - Subsequent Events

Events that occur after the Statement of Net Position date but before the financial statements are available to be issued must be evaluated for recognition or disclosure. The effects of subsequent events that provide evidence about conditions that existed at the Statement of Net Position date are recognized in the accompanying financial statements. Subsequent events which provide evidence about conditions that existed after the Statement of Net Position date require disclosure in the accompanying notes. Management of the Itawamba County School District evaluated the activity of the district through November 30, 2025, (the date the financial statements were available to be issued), and determined that there following subsequent event has occurred requiring disclosure in the notes to the financial statements.

There were two Shortfall notes was issued on August 23, 2023, and September 17, 2024 in the amounts of \$107,372; \$148,261, respectively.

On May 1, 2024, the school district received proceeds from an Education Facilities Revolving Loan from MDE in the amount of \$320,450.

REQUIRED SUPPLEMENTARY INFORMATION

ITAWAMBA COUNTY SCHOOL DISTRICT
Required Supplementary Information

Budgetary Comparison Schedule
General Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual (GAAP Basis)	Variances Positive (Negative)	
	Original	Final		Original	Final
				to Final	to Actual
Revenues:					
Local sources	\$ 7,670,678	7,372,185	\$ 7,393,314	\$ (298,493)	\$ 21,129
State sources	23,081,394	23,107,689	23,086,560	26,295	(21,129)
Federal sources	120,500	148,969	148,969	28,469	-
Sixteenth section sources		1,307	-	1,307	(1,307)
Total Revenues	30,872,572	30,630,150	30,628,843	(242,422)	(1,307)
Expenditures:					
Instruction	20,602,025	20,008,405	20,008,406	593,620	(1)
Support services	9,439,236	9,189,829	9,189,829	249,407	-
Facilities acquisition and construction	80,000	84,075	84,075	(4,075)	-
Debt service:					
Principal	278,733	278,733	278,733	-	-
Interest	58,333	58,333	58,333	-	-
Total Expenditures	30,458,327	29,619,375	29,619,376	838,952	(1)
Excess (Deficiency) of Revenues over (under) Expenditures	414,245	1,010,775	1,009,467	596,530	(1,308)
Other Financing Sources (Uses):					
Bonds and notes issued		269,834	892,834	269,834	623,000
Sale of transportation equipment		6,152	6,152	6,152	-
Sale of other property		3,200	4,508	3,200	1,308
Operating transfers in	5,483,012	4,731,527	117,855	(751,485)	(4,613,672)
Operating transfers out	(5,802,037)	(5,128,866)	(515,193)	673,171	4,613,673
Total Other Financing Sources (Uses)	(319,025)	(118,153)	506,156	200,872	624,309
Net Change in Fund Balances	95,220	892,622	1,515,623	797,402	623,001
Fund Balances:					
July 1, 2022	3,881,552	3,997,285	3,997,285	115,733	-
June 30, 2023	\$ 3,976,772	\$ 4,889,907	\$ 5,512,908	\$ 913,135	\$ 623,001

The notes to the required supplementary information are an integral part of this schedule.

ITAWAMBA COUNTY SCHOOL DISTRICT
Required Supplementary Information

Budgetary Comparison Schedule
Food Service Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual (GAAP Basis)	Variances Positive (Negative)	
	Original	Final		Original to Final	Final to Actual
Revenues:					
Local sources	\$ 540,900	\$ 540,900	\$ 501,417	\$ -	\$ (39,483)
State sources			17,255	-	17,255
Federal sources	1,814,000	1,814,000	1,890,155	-	76,155
Total Revenues	2,354,900	2,354,900	2,408,827	-	53,927
Expenditures:					
Support services	129,399	129,399	151,705	-	(22,306)
Noninstructional services	2,216,539	2,216,539	2,407,816	-	(191,277)
Total Expenditures	2,345,938	2,345,938	2,559,521	-	(213,583)
Excess (Deficiency) of Revenues over (under) Expenditures	8,962	8,962	(150,694)	-	(159,656)
Other Financing Sources (Uses):					
Operating transfers in			-	-	-
Operating transfers out			-	-	-
Total Other Financing Sources (Uses)	-	-	-	-	-
Net Change in Fund Balances	8,962	8,962	(150,694)	-	(159,656)
Fund Balances:					
July 1, 2022	446,064	446,064	446,064	-	-
Increase (Decrease) in inventory			27,076	-	27,076
June 30, 2023	\$ 455,026	\$ 455,026	\$ 322,446	\$ -	\$ (132,580)

The notes to the required supplementary information are an integral part of this schedule.

ITAWAMBA COUNTY SCHOOL DISTRICT
Required Supplementary Information

Budgetary Comparison Schedule
ESSER II Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual (GAAP Basis)	Variances Positive (Negative)	
	Original	Final		Original to Final	Final to Actual
Revenues:					
Federal sources	\$ 1,976,953	\$ 1,976,953	\$ 1,604,343	\$ -	\$ (372,610)
Total Revenues	1,976,953	1,976,953	1,604,343	-	(372,610)
Expenditures:					
Instruction	382,457	382,457	384,277	-	(1,820)
Support services	1,594,496	1,594,496	1,215,761	-	378,735
Total Expenditures	1,976,953	1,976,953	1,600,038	-	376,915
Excess (Deficiency) of Revenues over (under) Expenditures	-	-	4,305	-	4,305
Other Financing Sources (Uses):					
Operating transfers in			-	-	-
Operating transfers out			-	-	-
Total Other Financing Sources (Uses)	-	-	-	-	-
Net Change in Fund Balances	-	-	4,305	-	4,305
Fund Balances:					
July 1, 2022, as previously reported			-	-	-
Prior period adjustments			(4,305)	-	(4,305)
July 1, 2022, as restated	-	-	(4,305)	-	(4,305)
Increase (Decrease) in inventory				-	-
June 30, 2023	\$ -	\$ -	\$ -	\$ -	\$ -

The notes to the required supplementary information are an integral part of this schedule.

ITAWAMBA COUNTY SCHOOL DISTRICT
Required Supplementary Information

Budgetary Comparison Schedule
Senate Bill 2971 Fund
For the Year Ended June 30, 2023

	Budgeted Amounts		Actual (GAAP Basis)	Variances Positive (Negative)	
	Original	Final		Original to Final	Final to Actual
Revenues:					
Local sources	\$	\$	\$ 1,108	\$ -	\$ 1,108
Total Revenues	-	-	1,108	-	1,108
Expenditures:					
Support services	917,448	917,448	792,103	-	125,345
Total Expenditures	917,448	917,448	792,103	-	125,345
Excess (Deficiency) of Revenues over (under) Expenditures	(917,448)	(917,448)	(790,995)	-	126,453
Other Financing Sources (Uses):					
Operating transfers in			-	-	-
Operating transfers out			-	-	-
Total Other Financing Sources (Uses)	-	-	-	-	-
Net Change in Fund Balances	(917,448)	(917,448)	(790,995)	-	126,453
Fund Balances:					
July 1, 2022	891,682		891,682	(891,682)	891,682
June 30, 2023	\$ (25,766)	\$ (917,448)	\$ 100,687	\$ (891,682)	\$ 1,018,135

The notes to the required supplementary information are an integral part of this schedule.

ITAWAMBA COUNTY SCHOOL DISTRICT
Required Supplementary Information

Schedule of the District's Proportionate Share of the Net Pension Liability
PERS
Last 10 Fiscal Years*

	2023	2022	2021	2020	2019	2018	2017	2016	2015
District's proportion of the net pension liability	0.282971%	0.271747%	0.251432%	0.284886%	0.275351%	0.255797%	0.269864%	0.266604%	0.258078%
District's proportionate share of the net pension liability \$	58,245,729	40,165,394	48,674,314	50,117,068	45,799,052	42,522,143	48,204,448	41,736,676	31,559,240
District's covered payroll	19,480,586	18,068,443	16,742,247	18,553,905	17,583,771	16,409,530	17,263,879	16,655,905	15,769,911
District's proportionate share of the net pension liability as a percentage of its covered payroll	298.99%	222.30%	290.73%	270.12%	260.46%	259.13%	279.22%	250.58%	200.12%
Plan fiduciary net position as a percentage of the total pension liability	59.93%	70.44%	58.97%	61.59%	62.54%	61.49%	57.47%	61.70%	67.21%

The notes to the required supplementary information are an integral part of this schedule.

* The amounts presented for each fiscal year were determined as of the measurement date of 6/30 of the year prior to the fiscal year presented.

This schedule is presented to illustrate the requirement to show information for 10 years. However, GASB 68 was implemented in FYE 6/30/15, and, until a full 10-year trend is compiled, the District has only presented information for the years in which information is available.

ITAWAMBA COUNTY SCHOOL DISTRICT
Required Supplementary Information

Schedule of District Contributions
PERS
Last 10 Fiscal Years

		2023	2022	2021	2020	2019	2018	2017	2016	2015
Contractually required contribution	\$	3,742,731	3,389,622	3,143,909	2,913,151	2,922,240	2,769,444	2,584,501	2,719,061	2,623,305
Contributions in relation to the contractually required contribution		3,742,731	3,389,622	3,143,909	2,913,151	2,922,240	2,769,444	2,584,501	2,719,061	2,623,305
Contribution deficiency (excess)	\$	-	-	-	-	-	-	-	-	-
District's covered payroll	\$	21,509,948	19,480,586	18,068,443	16,742,247	18,553,905	17,583,771	16,409,530	17,263,879	16,655,905
Contributions as a percentage of covered payroll		17.40%	17.40%	17.40%	17.40%	15.75%	15.75%	15.75%	15.75%	15.75%

The notes to the required supplementary information are an integral part of this schedule.

This schedule is presented to illustrate the requirement to show information for 10 years. However, GASB 68 was implemented in FYE 6/30/15, and, until a full 10-year trend is compiled, the District has only presented information for the years in which information is available.

ITAWAMBA COUNTY SCHOOL DISTRICT
Required Supplementary Information

Schedule of the District's Proportionate Share of the Net OPEB Liability

OPEB

Last 10 Fiscal Years*

		2023	2022	2021	2020	2019	2018
District's proportion of the net OPEB liability		0.41165754%	0.38426174%	0.37234667%	0.37156900%	0.38164454%	0.37842673%
District's proportionate share of the net OPEB liability	\$	2,028,171	2,473,424	2,897,632	3,152,915	2,952,211	2,969,170
District's covered - employee payroll		20,228,670	18,268,564	17,944,713	15,916,655	17,261,523	17,001,672
District's proportionate share of the net OPEB liability as a percentage of its covered - employee payroll		10.03%	13.54%	16.15%	19.81%	17.10%	17.46%
Plan fiduciary net position as a percentage of the total OPEB liability		0.21%	0.16%	0.13%	0.12%	0.13%	0.00%

The notes to the required supplementary information are an integral part of this schedule.

* The amounts presented for each fiscal year were determined as of the measurement date of 6/30 of the year prior to the fiscal year presented.

This schedule is presented to illustrate the requirement to show information for 10 years. However, GASB Statement No. 75 was implemented in FYE 6/30/2018, and until a full 10-year trend is compiled, the District has only presented information for the years in which information is available.

ITAWAMBA COUNTY SCHOOL DISTRICT
Required Supplementary Information

Schedule of District Contributions
OPEB
Last 10 Fiscal Years

		2023	2022	2021	2020	2019	2018
Actuarially determined contribution	\$	101,283	82,652	99,416	115,557	126,379	126,580
Contributions in relation to the actuarially determined contribution		101,283	82,652	99,416	115,557	126,379	126,580
Contribution deficiency (excess)	\$	-	-	-	-	-	-
District's covered - employee payroll	\$	21,509,948	19,480,586	18,068,443	16,515,209	15,916,655	16,248,746
Contributions as a percentage of covered - employee payroll		0.47%	0.42%	0.55%	0.70%	0.79%	0.78%

The notes to the required supplementary information are an integral part of this schedule.

This schedule is presented to illustrate the requirement to show information for 10 years. However, GASB 75 was implemented in FYE 6/30/18, and, until a full 10-year trend is compiled, the District has only presented information for the years in which information is available. Prior year information is based on historical amounts reported in prior year audit reports.

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Required Supplementary Information
For the Year Ended June 30, 2023

Budgetary Comparison Schedules

(1) Basis of Presentation

The Budgetary Comparison Schedules present the original legally adopted budget, the final legally adopted budget, the actual data on the GAAP basis, variances between the original budget and the final budget, and variances between the final budget and the actual data.

(2) Budget Amendments and Revisions

The budget is adopted by the school board and filed with the taxing authority. Amendments can be made on the approval of the school board. By statute, final budget revisions must be approved on or before October 15. A budgetary comparison is presented for the General Fund and each major Special Revenue Fund consistent with accounting principles generally accepted in the United States of America.

Pension Schedules

(1) *Changes of assumptions*

2015:

The expectation of retired life mortality was changed to the RP-2014 Healthy Annuitant Blue Collar Table projected to 2016 using Scale BB rather than the RP-2000 Mortality Table, which was used prior to 2015.

The expectation of disabled mortality was changed to the RP-2014 Disabled Retiree Table, rather than the RP-2000 Disabled Mortality Table, which was used prior to 2015.

Withdrawal rates, pre-retirement mortality rates, disability rates and service retirement rates were also adjusted to more closely reflect actual experience.

Assumed rates of salary increase were adjusted to more closely reflect actual and anticipated experience.

The price inflation and investment rate of return assumptions were changed from 3.50% to 3.00% and 8.00% to 7.75%, respectively.

2016:

The assumed rate of interest credited to employee contributions was changed from 3.50% to 2.00%.

2017:

The expectation of retired life mortality was changed to the RP-2014 Healthy Annuitant Blue Collar Mortality Table projected with Scale BB to 2022. Small adjustments were also made to the Mortality Table for disabled lives.

The wage inflation assumption was reduced from 3.75% to 3.25%.

Withdrawal rates, pre-retirement mortality rates, disability rates and service retirement rates were also adjusted to more closely reflect actual experience.

The percentage of active member disabilities assumed to be in the line of duty was increased from 6% to 7%.

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Required Supplementary Information
For the Year Ended June 30, 2023

2019:

The expectation of retired life mortality was changed to the PubS.H-2010(B) Retiree Table with the following adjustments: for males, 112% of male rates from ages 18 to 75 scaled down to 105% for ages 80 to 119; for females, 85% of the female rates from ages 18 to 65 scaled up to 102% for ages 75 to 119; and projection scale MP-2018 will be used to project future improvements in life expectancy generationally.

The expectation of disabled mortality was changed to PubT.H-2010 Disabled Retiree Table for disabled retirees with the following adjustments: for males, 137% of male rates at all ages; for females, 115% of female rates at all ages; and projection scale MP-2018 will be used to project future improvements in life expectancy generationally.

The price inflation assumption was reduced from 3.00% to 2.75%.

The wage inflation assumption was reduced from 3.25% to 3.00%.

Withdrawal rates, pre-retirement mortality rates, and service retirement rates were also adjusted to more closely reflect actual experience.

The percentage of active member disabilities assumed to be in the line of duty was increased from 7% to 9%.

2021:

The expectation of retired life mortality was changed to the PubS.H-2010(B) Retiree Table with the following adjustments: for males, 95% of male rates up to age 60, 110% for ages 61 to 75, and 101% for ages above 77; for females, 84% of female rates up to age 72, 100% for ages above 76; and projection scale MP-2020 will be used to project future improvements in life expectancy generationally.

The expectation of disabled mortality was changed to PubG.H-2010 Disabled Table for disabled retirees with the following adjustments: for males, 134% of male rates at all ages; for females, 121% of female rates at all ages; and projection scale MP-2020 will be used to project future improvements in life expectancy generationally.

The expectation of contingent annuitant mortality was based on the PubS.H-2010(B) Contingent Annuitant Table with the following adjustments: for males, 97% of male rates at all ages; for females, 110% of female rates at all ages; and projection scale MP-2020 will be used to project future improvements in life expectancy generationally.

The price inflation assumption was reduced from 2.75% to 2.40%.

The wage inflation assumption was reduced from 3.00% to 2.65%.

The investment rate of return assumption was changed from 7.75% to 7.55%.

The assumed load for administrative expenses was increased from 0.25% to 0.28%.

Withdrawal rates, pre-retirement mortality rates, disability rates and service retirement rates were also adjusted to reflect actual experience more closely.

The percentage of active member disabilities assumed to be in the line of duty was increased from 9% to 12%.

The percentage of active member deaths assumed to be in the line of duty was decreased from 6% to 4%.

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Required Supplementary Information
For the Year Ended June 30, 2023

(2) *Changes in benefit provisions*

2016:

Effective July 1, 2016, the interest rate on employee contributions shall be calculated based on the money market rate as published by the Wall Street Journal on December 31 of each preceding year with a minimum rate of one percent and a maximum rate of five percent.

(3) *Method and assumptions used in calculations of actuarially determined contributions.*

The actuarially determined contribution rates in the schedule of employer contributions are calculated as of June 30, two years prior to the end of the fiscal year in which contributions are reported (June 30, 2020 valuation for the June 30, 2022 fiscal year end). The following actuarial methods and assumptions were used to determine the most recent contribution rate reported in that schedule:

Actuarial cost method	Entry age
Amortization method	Level percentage of payroll, open
Remaining amortization period	27.7 years
Asset valuation method	5-year smoothed market
Price Inflation	2.75 percent
Salary increase	3.00 percent to 18.25 percent, including inflation
Investment rate of return	7.75 percent, net of pension plan investment expense, including inflation

OPEB Schedules

(1) *Changes of assumptions*

2017: The discount rate was changed from 3.01% for the prior Measurement Date to 3.56% for the current Measurement Date.

2018: The discount rate was changed from 3.56% for the prior Measurement Date to 3.89% for the current Measurement Date.

2019: The discount rate was changed from 3.89% for the prior Measurement Date to 3.50% for the current Measurement Date.

2020: The discount rate was changed from 3.50% for the prior Measurement Date to 2.19% for the current Measurement Date.

2021: The discount rate was changed from 2.19% for the prior Measurement Date to 2.13% for the current Measurement Date.

2022: The discount rate was changed from 2.13% for the prior Measurement Date to 3.37% for the current Measurement Date.

(2) *Changes in benefit provisions*

2017: None

2018: None

2019: None

2020: The schedule of monthly retiree contributions was increased as of January 1, 2021. In addition, the deductibles and coinsurance maximums were increased for the Select coverage and the coinsurance maximums were increased for the Base Coverage beginning January 1, 2021.

ITAWAMBA COUNTY SCHOOL DISTRICT
Notes to the Required Supplementary Information
For the Year Ended June 30, 2023

2021: The schedule of monthly retiree contributions was increased as of January 1, 2022. In addition, the in-network medical deductible was increased for the Select coverage beginning January 1, 2022.

2022: The schedule of monthly retiree contributions was increased as of January 1, 2023. In addition, the in-network medical deductible was increased for the Select coverage beginning January 1, 2023.

- (3) *Methods and assumptions used in calculations of Actuarially Determined Contributions.* The Actuarially Determined Contributions rates, as a percentage of payroll, used to determine the Actuarially Determined Contribution amounts in the Schedule of Employer Contributions are calculated as of the most recent Valuation Date. The following actuarial methods and assumptions (from the June 30, 2021 actuarial valuation) were used to determine contribution rates reported in that schedule for the year ending June 30, 2022:

Actuarial cost method	Entry age
Amortization method	Level dollar
Amortization period	30 years, open
Asset valuation method	Market Value of Assets
Price inflation	2.75%
Salary increases, including wage inflation	3.00% to 18.25%
Initial health care cost trend rates	
Medicare Supplement Claims	6.50%
Pre-Medicare	
Ultimate health care cost trend rates	
Medicare Supplement Claims	4.75%
Pre-Medicare	
Year of ultimate trend rates	
Medicare Supplement Claims	2030
Pre-Medicare	
Long-term investment rate of return, net of OPEB plan investment expense, including price inflation	2.13%

SUPPLEMENTARY INFORMATION

ITAWAMBA COUNTY SCHOOL DISTRICT
Supplementary Information

Schedule of Expenditures of Federal Awards
For the Year Ended June 30, 2023

Federal Grantor/ Pass-through Grantor/ Program or Cluster Title	Federal Assistance Listing Number	Pass-through Entity Identifying Number	Federal Expenditures
<u>U.S. Department of Agriculture</u>			
Passed-through Mississippi Department of Education:			
Child nutrition cluster:			
School breakfast program	10.553	245MS326N1099	\$ 420,636
National school lunch program	10.555	245MS326N1099	2,111,809
Total child nutrition cluster			<u>2,532,445</u>
Total passed-through Mississippi Department of Education			<u>2,532,445</u>
Total U.S. Department of Agriculture			<u>2,532,445</u>
 <u>U.S. Department of Education</u>			
Passed-through Mississippi Department of Education:			
Title I grants to local educational agencies	84.010	S010A230024	1,065,646
Career and technical education - basic grants to states	84.048	V048A230024	10,373
Rural education	84.358	S358B230024	6,406
Supporting Effective Instruction State Grants	84.367	S367A230025	898
Student Support and Academic Enrichment Program	84.424	S424A230025	13,366
Subtotal			<u>1,096,689</u>
Special education cluster:			
Special education - grants to states	84.027	H027A220108	984,556
IDEA, Part B ARP Grant	84.027X	H027X210108	80,851
Subtotal			<u>1,065,407</u>
Special education - preschool grants	84.173	H173A220113	64,298
IDEA, Part B Preschool ARP Grant	84.173X	H173X210113	11,110
Subtotal			<u>75,408</u>
Total special education cluster			<u>1,140,815</u>
Elementary & Secondary School Emergency Relief Fund II	84.425D	S425D210031	1,600,038
ARP ESSER - Elementary Education & Reading - HQIM	84.425U	S425U210031	594,539
Elementary & Secondary School Emergency Relief Fund II - Early Childhood-Pre-K	84.425D	S425D210031	10,668
Elementary & Secondary School Emergency Relief Fund ARP III	84.425U	S425U210031	1,391,021
COVID-19 - Education Stabilization Fund (ESSER) Subtotal			<u>3,596,266</u>
Total passed-through Mississippi Department of Education			<u>5,833,770</u>
Total U.S. Department of Education			<u>5,833,770</u>
 <u>U.S. Department of Health and Human Services</u>			
Passed-through Mississippi Department of Education:			
Medical cluster:			
Medical assistance program	93.778	N/A	21,477
Total Medicaid cluster			<u>21,477</u>
Total passed-through Mississippi Department of Education			<u>21,477</u>
Total U.S. Department of Health and Human Services			<u>21,477</u>
 <u>U.S. Department of Social Security Administration</u>			
Passed-through Mississippi Department of Rehabilitation Services:			
Disability Insurance/SSI Cluster:			
Social Security Disability Insurance	96.001	N/A	560
Total Disability Insurance/SSI Cluster			<u>560</u>
Total passed-through Mississippi Department of Rehabilitation Services			<u>560</u>
Total U.S. Department of Social Security Administration			<u>560</u>
 Total for All Federal Awards			 <u>\$ 8,388,252</u>

The accompanying notes to the supplementary information are an integral part of this schedule.

ITAWAMBA COUNTY SCHOOL DISTRICT

Notes to the Supplementary Information

For the Year Ended June 30, 2023

Schedule of Expenditures of Federal Awards

(1) Basis of Presentation

The accompanying schedule of expenditures of federal awards (the "Schedule") includes the federal award activity of the Itawamba County School District under programs of the federal government for the year ended June 30, 2023. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of the Itawamba County School District, it is not intended to and does not present the financial position, changes in net position, or cash flows of the Itawamba County School District.

(2) Summary of Significant Accounting Policies

Expenditures reported on the Schedule are reported on the modified accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Negative amounts shown on the Schedule represent adjustments or credits made in the normal course of business to amounts reported as expenditures in prior years.

(3) Indirect Cost Rate

The Itawamba County School District has not elected to use the 10-percent de minimis indirect cost rate allowed under the Uniform Guidance.

(4) Other Items

Donated commodities are included in the National School Lunch Program.

E-rate funds have not been included on this schedule due to the fact the FCC considers the support to be in the form of providing a discount to the schools and libraries and does not consider the assistance to be direct financial support.

Schedule of Instructional, Administrative and Other Expenditures – Governmental Funds

(1) Basis of Accounting

This schedule is presented on the same basis of accounting and the same significant accounting policies, as applicable, as those used for the financial statements.

**ITAWAMBA COUNTY SCHOOL DISTRICT
Supplementary Information**

**Schedule of Instructional, Administrative and Other Expenditures - Governmental Funds
For the Year Ended June 30, 2023**

<u>Expenditures</u>	<u>Total</u>	<u>Instruction and Other Student Instructional Expenditures</u>	<u>General Administration</u>	<u>School Administration</u>	<u>Other</u>
Salaries and fringe benefits	\$ 29,812,237	23,710,289	757,374	2,370,402	2,974,172
Other	10,310,363	2,740,984	337,422	194,020	7,037,937
Total	<u>\$ 40,122,600</u>	<u>26,451,273</u>	<u>1,094,796</u>	<u>2,564,422</u>	<u>10,012,109</u>
Total number of students *	<u>3,260</u>				
Cost per student	<u>\$ 12,308</u>	<u>8,114</u>	<u>336</u>	<u>787</u>	<u>3,071</u>

For purposes of this schedule, the following columnar descriptions are applicable:

Instruction and Other Student Instructional Expenditures - includes the activities dealing directly with the interaction between teachers and students. Included here are the activities of teachers, teachers aides or classroom assistants of any type.

General Administration - includes expenditures for the following functions: Support Services - General Administration and Support Services - Business.

School Administration - includes expenditures for the following function: Support Services - School Administration.

Other - includes all expenditure functions not included in Instruction or Administration Categories.

* includes the number of students reported on the ADA report submission for month 9, which is the final submission for the fiscal year

OTHER INFORMATION

ITAWAMBA COUNTY SCHOOL DISTRICT

Other Information

Statement of Revenues, Expenditures and Changes in Fund Balances

General Fund

Last Four Years

UNAUDITED

	2023	2022*	2021*	2020*
Revenues:				
Local sources	\$ 7,393,314	\$ 7,224,890	\$ 6,997,411	\$ 6,518,826
State sources	23,086,560	19,917,028	19,453,288	20,140,817
Federal sources	148,969	167,673	153,631	197,655
Total Revenues	30,628,843	27,309,591	26,604,330	26,857,298
Expenditures:				
Instruction	20,008,406	18,202,774	16,968,918	17,424,327
Support services	9,189,829	8,232,080	11,490,613	8,172,893
Facilities acquisition and construction	84,075	1,713,258		
Debt service:				
Principal	278,733	272,306	126,717	123,362
Interest	58,333	64,759	18,197	21,552
Total Expenditures	29,619,376	28,485,177	28,604,445	25,742,134
Excess (Deficiency) of Revenues over (under) Expenditures	1,009,467	(1,175,586)	(2,000,115)	1,115,164
Other Financing Sources (Uses):				
Bonds and notes issued	892,834		86,505	
Loans issued			2,463,467	
Sale of transportation equipment	6,152			
Sale of other property	4,508			85,156
Operating transfers in	117,855	117,856	117,855	137,778
Operating transfers out	(515,193)	(606,020)	(732,414)	(454,180)
Total Other Financing Sources (Uses)	506,156	(488,164)	1,935,413	(231,246)
Net Change in Fund Balances	1,515,623	(1,663,750)	(64,702)	883,918
Fund Balances:				
Beginning of period, as previously reported	3,997,285	2,988,145	2,961,261	2,035,134
Prior period adjustments		2,672,890	91,586	42,209
Beginning of period, as restated	3,997,285	5,661,035	3,052,847	2,077,343
End of Period	\$ 5,512,908	\$ 3,997,285	\$ 2,988,145	\$ 2,961,261

*SOURCE - PRIOR YEAR AUDIT REPORTS

ITAWAMBA COUNTY SCHOOL DISTRICT
Other Information

Statement of Revenues, Expenditures and Changes in Fund Balances

All Governmental Funds

Last Four Years

UNAUDITED

	2023	2022*	2021*	2020*
Revenues:				
Local sources	\$ 8,426,903	\$ 7,614,203	\$ 7,479,700	\$ 7,393,831
State sources	25,682,929	21,550,417	20,327,975	20,902,062
Federal sources	7,864,642	7,381,469	6,595,057	3,814,200
Total Revenues	41,974,474	36,546,089	34,402,732	32,110,093
Expenditures:				
Instruction	23,333,776	21,820,239	20,217,371	19,447,113
Support services	13,457,315	10,115,110	13,847,787	9,079,167
Noninstructional services	2,482,384	2,185,870	1,812,480	1,900,851
Facilities acquisition and construction	84,075	1,742,345		
Debt service:				
Principal	637,565	625,736	1,350,717	458,362
Interest	127,485	139,547	121,494	94,477
Total Expenditures	40,122,600	36,628,847	37,349,849	30,979,970
Excess (Deficiency) of Revenues over (under) Expenditures	1,851,874	(82,758)	(2,947,117)	1,130,123
Other Financing Sources (Uses):				
Bonds and notes issued	1,008,864		3,486,505	
Loans issued	0		2,463,467	
Payment held by escrow agent	249,766	210,000	210,000	197,250
Payment to QSCB escrow agent	(249,766)	(210,000)	(210,000)	(197,250)
Sale of transportation equipment	6,152			
Sale of other property	4,508			85,156
Operating transfers in	633,048	723,876	850,269	717,718
Operating transfers out	(633,048)	(723,876)	(850,269)	(717,718)
Other financing uses	(23,940)			
Total Other Financing Sources (Uses)	995,584	0	5,949,972	85,156
Net Change in Fund Balances	2,847,458	(82,758)	3,002,855	1,215,279
Fund Balances:				
Beginning of period, as previously reported	9,442,912	9,779,521	6,670,123	5,371,801
Prior period adjustments	(55,175)	(215,993)	92,177	42,209
Beginning of period, as restated	9,387,737	9,563,528	6,762,300	5,414,010
Increase (Decrease) in inventory	27,076	(37,858)	14,366	40,834
End of Period	\$ 12,262,271	\$ 9,442,912	\$ 9,779,521	\$ 6,670,123

*SOURCE - PRIOR YEAR AUDIT REPORTS

REPORTS ON INTERNAL CONTROL AND COMPLIANCE



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INDEPENDENT AUDITOR'S REPORT
ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER
MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS
PERFORMED IN ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS

Superintendent and School Board
Itawamba County School District

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Itawamba County School District, as of and for the year ended June 30, 2023, and the related notes to the financial statements, which collectively comprise Itawamba County School District's basic financial statements, and have issued our report thereon dated November 30, 2025.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Itawamba County School District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinion on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Itawamba County School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Itawamba County School District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses and significant deficiencies may exist that were not identified. We did identify a certain deficiency in internal control, described in the accompanying schedule of findings and questioned cost as item **Finding 2023-001** that we consider to be a material weakness.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether Itawamba County School District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed instances of noncompliance or other matters that are required to be

reported under *Government Auditing Standards* and which are described in the accompanying schedule of findings and questioned costs as item **2023-001**.

Itawamba County School District's Responses to Findings

Government Auditing Standards requires the auditor to perform limited procedures on the Itawamba County School District's response to the finding identified in our audit and described in the accompanying schedule of findings and questioned cost. Itawamba County School District's responses was not subjected to the other auditing procedures applied in the audit of the financial statements, and accordingly, we express no opinion on the response.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

McKenzie CPA, PLLC
Madison, Mississippi
November 30, 2025

A handwritten signature in blue ink that reads "McKenzie CPA, PLLC". The signature is written in a cursive, flowing style.



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**Independent Auditor's Report
on Compliance For Each Major Federal Program; Report on Internal Control Over Compliance
Required by the Uniform Guidance**

Superintendent and School Board
Itawamba County School District

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Itawamba County School District's compliance with the types of compliance requirements identified as subject to audit in the *OMB Compliance Supplement* that could have a direct and material effect on each of Itawamba County School District's major federal programs for the year ended June 30, 2023. The Itawamba County School District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, the Itawamba County School District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2023.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report. We are required to be independent of the Itawamba County School District and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the Itawamba County School District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to the Itawamba County School District's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the Itawamba County School District's compliance based on our audit. Reasonable assurance is a high

level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards, Government Auditing Standards, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the Itawamba County School District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with generally accepted auditing standards, Government Auditing Standards, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the Itawamba County School District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the Itawamba County School District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the Itawamba County School District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control over Compliance

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A material weakness in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A significant deficiency in internal control over compliance is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

McKenzie CPA, PLLC
Madison, Mississippi
November 30, 2025





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Madison, MS 39110
(Phone) 601-670-5282 (Email) barrymckenzie@mckenziecpapllc.com

INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE WITH STATE LAWS AND REGULATIONS

Superintendent and School Board
Itawamba County School District

We have audited the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of the Itawamba County School District as of and for the year ended June 30, 2023, which collectively comprise Itawamba County School District's basic financial statements and have issued our report thereon dated November 30, 2025. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States.

Section 37-9-18(3)(a), Miss. Code Ann. (1972), states in part, "the auditor shall test to ensure that the school district is complying with the requirements of Section 37-61-33(3)(a)(iii), Miss. Code Ann. (1972), relating to classroom supply funds." As required by the state legal compliance audit program prescribed by the Office of the State Auditor, we have also performed procedures to test compliance with certain other state laws and regulations. However, providing an opinion on compliance with all state laws and regulations was not an objective of our audit and, accordingly, we do not express such an opinion.

The results of our procedures performed to test compliance with the requirements of Section 37-61-33(3)(a)(iii), Miss. Code Ann. (1972), disclosed no instances of noncompliance.

Section 37-9-18(3)(b), Miss. Code Ann. (1972), states in part, "the auditor shall test to ensure correct and appropriate coding at the function level. The audit must include a report showing the correct and appropriate functional level expenditure codes in expenditures by the school district."

The results of our procedures performed to test compliance with the requirements of Section 37-9-18(3)(b), Miss. Code Ann. (1972), disclosed no instances of noncompliance related to incorrect or inappropriate functional level expenditure coding.

As required by the state legal compliance audit program prescribed by the Office of the State Auditor, we have also performed procedures to test compliance with certain other state laws and regulations. However, providing an opinion on compliance with all state laws and regulations was not an objective of our audit and, accordingly, we do not express such an opinion.

The results of procedures performed to test compliance with certain other state laws and regulations and our audit of the financial statements disclosed the following immaterial instances of noncompliance with other state laws and regulations. Our findings and recommendations and your responses are as follows:

State Legal Finding 01 – Compliance with State Laws over Budget Approval

Repeat Finding: Yes

The Board of Education establishes priorities for financial management of the District, reviews and approves all presented budgets, and assures expenditures for the District funds are within the legal requirements of the approved budget. *Section 37-61-19, Mississippi Code Annotated (1972)*, states, "It

shall be the duty of the superintendent of schools and the school boards of all school districts to limit the expenditure of school funds during the fiscal year to the resources available. It shall be unlawful for any school district to budget expenditures from a fund in excess of the resources available within that fund...”

During our review of the District’s 2022-2023 Original and Amended budget, we found that the district’s budget reflected a negative fund balance at year end in multiple funds for both budgets.

Although all actual fund balances were not negative at June 30, 2023, the approval of the fund budgets with ending deficit fund balances is a violation of state law.

Recommendation

We recommend the Itawamba County School District strengthen controls and ensure compliance with state law by following sound budgeting practices that will prevent projected negative fund balances from being presented to the School Board. A thorough review of such budgets should be made prior to School District implement sound budgeting practices that will prevent negative fund balances from being presented to the school board.

Response

Year-end entries were made to clear these fund balances after the amended budget was presented to the Board. From now on, I will submit an amended budget after I submit my FETS report to MDE.

State Legal Finding 02 – The School District Should Strengthen Internal Controls and Ensure Compliance with State Law over Travel Reimbursements.

Repeat Finding: Yes

Internal Control Deficiency: Management is responsible for properly safeguarding the assets of the School District and ensuring all reimbursements are approved, documented and allowed.

Applicable State Law: *Section 25-3-41(4), Mississippi Code Annotated (1972)*, states, “In addition to the foregoing, a public officer or employee shall be reimbursed for other actual expenses such as meals, lodging and other necessary expenses incurred in the course of the travel, subject to limitations placed on meals for intrastate and interstate official travel by the Department of Finance and Administration, provided, that the Legislative Budget Office shall place any limitations for expenditures made on matters under the jurisdiction of the Legislature. The Department of Finance and Administration shall set a maximum daily expenditure annually for such meals and shall notify officers and employees of changes to these allowances immediately upon approval of the changes.”

Finding Detail: During the review of the School District’s travel reimbursements, the auditors noted that three travel vouchers completed and did not have corroborating evidence maintained within the District. Two vouchers did not provide enough evidence to support if meals were included with the conference.

Failure to have adequate controls surrounding the District’s travel reimbursements could result in waste, fraud, and abuse of public funds. Also, the failure to have proper documentation for reimbursements resulted in noncompliance with state law.

Recommendation: We recommend the Itawamba County School District strengthen internal controls and ensure compliance by implementing adequate procedures to ensure travel reimbursements are properly documented and verified, as required by state law.

District’s Response: Will check before approving to ensure have reason for travel on all forms.

State Legal Finding 03: The School District Should Strengthen Internal Controls and Ensure Compliance with State Law Over Bank Reconciliations.

Repeat Finding: Yes

Internal Control Deficiency: Management is responsible for ensuring that the assets of the District are safeguarded and transactions are properly documented in the District's financial records. A critical aspect outstanding checks to the balance per bank statement to reconcile to the amount of cash that is listed on the general ledger of the District to what is recorded at the bank. The reconciliation process enables the Business Office to make adjusting journal entries to correct any mistakes or unrecorded items in the District's financial records.

Applicable State Law: *Accounting Manual for School Districts, Section B, Bank Depository Reconciliations*, prescribed by the Mississippi Department of Education, states, "Bank statements should be reconciled to the district's general ledger cash balances in a timely, accurate manner. The district should also ensure proper internal controls surrounding the completion and review of bank reconciliations."

Finding Detail: During the review of the School District's bank reconciliations, the auditors noted the following exceptions:

The following bank accounts were not properly reconciled to the District's general ledger's cash balance:

- The District Maintenance bank account; and
- The Vocational Club bank account and three other accounts were not reconciled to the District's books for fiscal year 2023.

Failure to properly reconcile bank statements could result in the misstatement of the District's financial statements, errors, or fraud occurring without being detected in a timely manner.

Recommendation: We recommend the Itawamba County School District strengthen internal controls by implementing adequate policies and procedures to ensure all bank statements are reconciled timely and accurately to the District's general ledger. Also, Management should reconcile bank accounts monthly to the general ledger by each fund in order to effectively and timely account for any variance from the District's book balances.

District's Response: We will reconcile bank to book. We will ensure no negative reconciliation. Will include vocational account. Reconciling items for each account are noted on the reconciliation and you can see what makes up each difference.

State Legal Finding 04: The School District Should Ensure Compliance with State Law over School Board Member Nepotism and Ethics.

Repeat Finding: Yes

Applicable State Law: *Section 37-9-21, Mississippi Code Annotated (1972)*, states, "It shall be illegal for any superintendent, principal or other licensed employee to be elected by the school board if such superintendent, principal or licensed employee is related within the third degree by blood or marriage according to the common law to a majority of the member of the school board. No member of the school board shall vote for any person as a superintendent, principal or licensed employee who is related to within the third degree by blood or marriage or who is dependent upon him in a financial way. Any contract entered into in violation of the provisions of this section shall be null and void."

Mississippi Ethics Opinion 14-051-E, states, "...*Section 25-4-105(1), Miss. Code of 1972*, prohibits a school board member from using his or her official position to obtain or attempt to obtain a pecuniary benefit for his or her relatives. The term relative is defined in *Section 25-4-103(q)* and includes the board member's child. Therefore, the school board member, if elected cannot participate in any matter which would create a monetary benefit for his or her child. Examples of actions in which board member should not participate include, but are not limited to, the selection or promotion of a relative or adjustments to his

or her salary, benefits or other compensation and any other action which is a necessary predicate to the relative's compensation, and any claims docket or budget from which the relative is paid, including approval of the annual school district budget. A total and complete recusal requires the board member leave the meeting room before the matter comes up for discussion and remain absent until the vote is concluded... Furthermore, any minutes or record of the meeting or other proceeding should state the recusing board member left the room before the matter came before the board and did not return until after the vote..."

Finding Detail: During the review of the School District's Board minutes and related party questionnaires, the auditors noted the following exceptions:

- One Board member did not recuse themselves from the vote of the hiring of three nephews and nieces, who were employed as certified teachers.

Failure of the Board members from recusing themselves during the vote for certified relatives resulted in the violation of *Mississippi Ethics Opinion 14-051-E* and *Mississippi Code Section 37-9-21*.

Recommendation: We recommend the Itawamba County School District ensure compliance over ethics by recusing themselves during the vote of relatives, as required by state law. This matter has been referred to the *Mississippi Ethics Commission*.

District's Response: In the future, 1st and 4th District Board Members will recuse themselves from voting on the employment contracts of their relatives within the 3rd degree, and the 5th District Board Member in question has retired. However, the ICSD would state that all these relatives live independent of the respective Board Members and none are financially dependent on their relative Board Member.

Auditor's Note: As noted above, the Board Members failure to recuse themselves during the vote of relatives that are certified employees is a violation of state law. Additionally, regardless if they are financially independent, the District is in violation for the Board members not recusing themselves during the vote of their children.

State Legal Finding 05: The School District Should Ensure Compliance with State Law over Principals and Directors Recommending and Supervising Relative.

Repeat Finding: Yes

Applicable State Law: *Section 25-4-105(1), Mississippi Code Annotated (1972)*, prohibits a public servant from using his or her position to obtain or attempt to obtain any pecuniary benefit for his or her spouse or other "relative," as that term defined in *Section 25-4-103(q)*. *Section 37-9-17(1), Mississippi Code Annotated (1972)*, states, "The school board of any local school district shall be authorized to designate a personnel supervisor or another principal employed by the school district to recommend to the superintendent licensed employees or noninstructional employees; however, this authorization shall be restricted to no more than two (2) positions for each employment period for each school in the local school district. Any noninstructional employee employed upon the recommendation of a personnel supervisor or another principal employed by the local school district must have been employed by the local school district at the time the superintendent was elected or appointed to office; a noninstructional employee employed under this authorization may not be paid compensation in excess of the statewide average compensation for such noninstructional position with comparable experience, as established by the State Department of Education."

Mississippi Ethics Opinion 19-014-E, states, "No employee should work under the direct supervision of his or her relative, this would be a violation of *Section 25-4-105(1), Mississippi Code Annotated (1972)*."

Finding Detail: During the review of School District's related party questionnaires, the auditors noted the following exceptions:

- One Principal recommended the hire and the direct supervisor of their sister, who is a tutor.

Failure to ensure Management does not recommend or supervise relatives within the first degree resulted in the violation of *Mississippi Ethics Opinion 19-014-E* and *Mississippi Code Sections 25-4-105(1)* and *37-9-17(1)*.

Recommendation: We recommend the Itawamba County School District ensure compliance over ethics by assuring that Management does not recommend nor directly supervisor their relatives within the first degree. This matter has been referred to the *Mississippi Ethics Commission*.

District's Response: Tutors are hired by the Federal Programs Director and work at various schools. They are not hired by or ultimately supervised by the principals.

The Office of the State Auditor or a public accounting firm will review, on the subsequent year's audit engagement, the findings in this report to ensure that corrective action has been taken.

The Itawamba County School District's responses to the findings included in this report were not audited and, accordingly, we express no opinion on them.

This report is intended solely for the information and use of the school board and management, entities with accreditation overview, and federal awarding agencies, the Office of the State Auditor and pass-through entities and is not intended to be and should not be used by anyone other than these specified parties. However, this report is a matter of public record and its distribution is not limited.

McKenzie CPA, PLLC
Madison, Mississippi
November 30, 2025

A handwritten signature in blue ink that reads "McKenzie CPA, PLLC". The signature is written in a cursive, flowing style.

SCHEDULE OF FINDINGS AND QUESTIONED COSTS

ITAWAMBA COUNTY SCHOOL DISTRICT
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2023

Section I: Summary of Auditor's Results

Financial Statements:

- | | |
|---|---------------|
| 1. Type of report the auditor issued on whether the financial statements audited were prepared in accordance with GAAP: | Unmodified |
| 2. Internal control over financial reporting: | |
| a. Material weaknesses identified? | Yes |
| b. Significant deficiencies identified? | None reported |
| 3. Noncompliance material to financial statements noted? | Yes |

Federal Awards:

- | | |
|---|---------------|
| 4. Internal control over major programs: | |
| a. Material weakness identified? | No |
| b. Significant deficiency identified? | None reported |
| 5. Type of auditor's report issued on compliance for major programs: | Unmodified |
| 6. Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)? | No |
| 7. Identification of federal major programs: | |

<u>Assistance Listing Numbers</u>	<u>Name of Federal Program or Cluster</u>
84.027, 84.027X, 84.173 & 84.173X	SPED Cluster
	<u>Education Stabilization Cluster</u>
84.425D	Elementary & Secondary School Emergency Relief Fund II - Early Childhood-Pre-K
84.425D	Elementary & Secondary School Emergency Relief Fund (ESSER II)
84.425U	Elementary & Secondary School Emergency Relief Fund (ARP III)
84.425U	ARP ESSER – Elementary Education & Reading - HQIM

- | | |
|--|-----------|
| 8. Dollar threshold used to distinguish between type A and type B programs: | \$750,000 |
| 9. Auditee qualified as low-risk auditee? | No |
| 10. Prior fiscal year audit finding(s) and questioned costs relative to federal awards which would require the auditee to prepare a summary schedule of prior audit findings in accordance with 2CFR 200.511(b). | Yes |

ITAWAMBA COUNTY SCHOOL DISTRICT
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2023

Section II: Financial Statement Findings

Material Weaknesses and Material Non-compliances

Finding 2023-001 Finding (Repeat Finding 2022-001 and 2021-001)

Deficiencies in controls surrounding year end accruals, balance sheet reconciliations, revenue reconciliation, and Bank reconciliations.

Criteria:

The school district is charged with developing controls surrounding the reconciliation of year end accruals and year end balance sheet amounts. They are also responsible for maintaining proper documentation and support of those balances.

Condition:

In our review of the controls surrounding year end accruals and balance sheet accounts, we noted that management had not properly reconciled the year end accruals and some balance sheet accounts needed to be updated to agree to the current year reconciliations. Some accounts hold fund balances that do not appear to be accurate or updated. Balances appear to have amounts included from previous periods or unsupported balances. Some accounts were also out of balance. The following accounts were not reconciled:

- Beginning fund balances
- Bank reconciliations did not agree to general ledger
- A new building was not added to the assets
- Activity receipts were not reconciled.

Cause:

The cause is due to a lack of controls to ensure items were reconciled appropriately with supporting documentation for all balances.

Effect:

The effect is a breakdown in the controls surrounding the year end close out cycle. Some balance will not agree to amounts recorded and are not clearing previous balances or updating to new reconciliations.

Recommendation:

We recommend that the school district review their close out procedures and ensure that year end accruals and balance sheet reconciliation agree to support within each fund. We also recommend the district review procedures for maintaining supporting documentation.

Views of Responsible Officials

Please see Auditee's Corrective Action Plan.

Section III: Federal Award Findings and Questioned Costs

The results of our tests did not disclose any findings and questioned costs related to the federal awards.

**AUDITEE'S CORRECTIVE ACTION PLAN
AND/OR
SUMMARY OF PRIOR AUDIT FINDINGS**

ITAWAMBA COUNTY SCHOOL DISTRICT
605 South Cummings Street
Office of the Superintendent
Fulton, Mississippi 38843
Austin Alexander, Superintendent
Jennifer Gray, Finance Director

AUDITEE'S CORRECTIVE ACTION PLAN

As required by the Uniform Guidance, The Itawamba County School District has prepared and hereby submits the following corrective action plan for the findings included in the Schedule of Findings and Questioned Costs for the year ended June 30, 2023:

Finding	Corrective Action Plan Details
2023-001	<u>Deficiencies in controls surrounding year end accruals, balance sheet reconciliations, revenue reconciliation, and Bank reconciliations.</u> A. Name of contact person responsible for corrective action: Name: Jennifer Gray Title: Business Manager B. Corrective action planned: District will implement new procedures to ensure that controls within the payroll process are strengthened. C. Anticipated completion date: June 30, 2024.

ITAWAMBA COUNTY SCHOOL DISTRICT
605 South Cummings Street
Office of the Superintendent
Fulton, Mississippi 38843
Austin Alexander, Superintendent
Jennifer Gray, Finance Director

SUMMARY OF PRIOR YEAR AUDIT FINDINGS

As required by Title 2 U.S. Code of Federal Regulations (CFR) Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (UG), the Itawamba County School District has prepared and hereby submits the following summary of prior year audit findings follow up as of June 30, 2023:

Finding	Status
2022-001	Not Corrected (See Finding 2023-001)